

SAUDI KAYAN PETROCHEMICAL COMPANY (SAUDI KAYAN)

(A SAUDI JOINT STOCK COMPANY)

FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2025 WITH
INDEPENDENT AUDITOR'S REPORT

Annual financial statements

For the year ended 31 December 2025

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Independent auditor's report to the shareholders of Saudi Kayan Petrochemical Company (Saudi Kayan)

Report on the audit of the financial statements

Our opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of Saudi Kayan Petrochemical Company (Saudi Kayan) (the "Company") as at 31 December 2025, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards, that are endorsed in the Kingdom of Saudi Arabia, and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants (SOCPA).

What we have audited

The Company's financial statements comprise:

- the statement of financial position as at 31 December 2025;
- the statement of profit or loss and other comprehensive income for the year then ended;
- the statement of changes in equity for the year then ended;
- the statement of cash flows for the year then ended; and
- the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing, that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards), endorsed in the Kingdom of Saudi Arabia (the "Code"), as applicable to audits of financial statements of public interest entities. We have also fulfilled our other ethical responsibilities in accordance with the Code's requirements.

Our audit approach

Overview

Key Audit Matter

Impairment assessment of non-current assets

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements. In particular, we considered where management made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

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Independent auditor's report to the shareholders of Saudi Kayan Petrochemical Company (Saudi Kayan) (continued)

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the financial statements as a whole, taking into account the structure of the Company, the accounting processes and controls, and the industry in which the Company operates.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the Key audit matter
Impairment assessment of non-current assets As at 31 December 2025, the Company has property, plant and equipment of Saudi Riyals 18.3 billion, intangible assets of Saudi Riyals 146.9 million and right-of-use assets of Saudi Riyals 172.7 million (collectively referred to as "non-current assets"). At each reporting date, management assesses whether there are any events or changes in circumstances ("impairment indicators") which may indicate that the carrying amount of the non-current assets may not be recoverable. If any impairment indicators are identified, management performs a detailed impairment assessment. This entails (i) identifying cash generating units (CGUs) where a CGU is the smallest group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets; and (ii) calculating the recoverable amounts of the CGUs and comparing them against their carrying amounts. The Company has experienced a decrease in the actual prices of its products that management expects to persist in the short-term. Contrary to management's expectations, these prices have not recovered in 2025, resulting in negative operating cashflows and loss before zakat for the year ended 31 December 2025 of Saudi Riyals 0.3 billion and Saudi Riyals 2.3 billion respectively. Moreover, the market capitalization of the Company as at 31 December 2025 remained below the book value of the Company's equity as at that date. These events and conditions were identified by management as impairment indicators. Accordingly, management performed a detailed impairment assessment.	Our audit procedures included the following: - Evaluated the design and implementation of key manual controls over the impairment assessment process comprising of identification of the CGUs, identification of impairment indicators and estimation of the CGU's recoverable amount, where impairment indicators for the CGU have been identified. - Assessed, with the assistance of our IFRS experts, the reasonableness of management's identification of the Company's own non-current assets, other than the assets pertaining to the joint operation, as a single CGU. - Evaluated management's assessment of the identification of impairment indicators, including the conclusions reached. - Evaluated the reasonableness of management's assumptions used in the value-in-use calculations to determine the recoverable amount of the Company's own CGU. This included: (i) Assessing the appropriateness of the methodology used by management to estimate the value-in-use of the CGU and checking the accuracy and appropriateness of the input data used by management in the discounted cash flow model by tracing to supporting documentation, such as the approved business plan. We tested the reasonableness of the business plan by, for example, comparing them to historical results;

Independent auditor's report to the shareholders of Saudi Kayan Petrochemical Company (Saudi Kayan) (continued)

Key audit matter	How our audit addressed the Key audit matter
Management determined that the Company's own non-current assets, other than the assets pertaining to the joint operation, constitute a single CGU. In determining the recoverable amount of this CGU, management estimated the value-in-use of the CGU based on the business plans as approved by the Company's Board of Directors which reflect management's view of the external market conditions and certain key internal variables including the estimation of appropriate growth and discount rates. Management has concluded that the recoverable amount of the Company's own CGU was higher than its carrying amount and, accordingly, there was no impairment loss as at 31 December 2025. We considered this as a key audit matter as the CGU determination was complex, requiring management to consider a range of factors that are specific to the Company's circumstances. Further, the assessment of the recoverable amount of the CGU requires significant estimates and judgments including EBITDA margins, future economic and market conditions, growth and discount rates. Refer to Note 6.10 for the accounting policy, Note 3 for the disclosure of critical accounting estimates and judgments and Note 7 for relevant disclosures related to the impairment assessment of non-current assets in the accompanying financial statements.	(ii) In addition to assisting us with a number of the above procedures, we engaged our internal valuation experts to also: a) assess the reasonableness of EBITDA margin forecasts by comparing them to actual historic trends; b) assess the reasonableness of revenue assumptions by comparing average forecast prices to the actual average 2025 prices achieved and indexed forward using the price growth rates implied by independent price forecasts (including management's third-party forecasts and our own market research); c) assess the reasonableness of discount and growth rates; and d) test the mathematical accuracy of the underlying calculations used in the discounted cash flow model. • Assessed the potential impact of a range of possible outcomes by performing sensitivity analyses over certain key assumptions in the discounted cash flow model. • Assessed the adequacy and appropriateness of the related disclosures in the accompanying financial statements.

Other information

The directors are responsible for the other information. The other information comprises the Company's Annual Report but does not include the financial statements and our auditor's report thereon, which we obtained prior to the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent auditor's report to the shareholders of Saudi Kayan Petrochemical Company (Saudi Kayan) (continued)

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards, that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by SOCPA, and the applicable requirements of the Regulations for Companies and the Company's By-laws, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, i.e. the Board of Directors, are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing, that are endorsed in the Kingdom of Saudi Arabia, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing, that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

Independent auditor's report to the shareholders of Saudi Kayan Petrochemical Company (Saudi Kayan) (continued)

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Company as a basis for forming an opinion on the financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

PricewaterhouseCoopers



Bader I. Benmohareb
License Number 471



2 March 2026

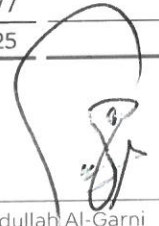
Statement of financial position

(All amounts in Saudi Riyals '000 unless otherwise stated)

	Notes	As at 31 December 2025	As at 31 December 2024
ASSETS			
Non-current assets			
Property, plant and equipment	7	18,269,271	19,918,406
Right-of-use assets	8	172,665	216,081
Intangible assets	9	146,949	167,920
Other assets and receivables	10	110,058	75,224
Total non-current assets		18,698,943	20,377,631
Current assets			
Inventories	12	1,370,809	1,362,759
Trade receivables	13	2,050,529	2,317,124
Prepayments		88,722	102,643
Other assets and receivables	10	344,786	412,780
Cash and cash equivalents	14	171,036	296,353
Total current assets	1	4,025,882	4,491,659
TOTAL ASSETS		22,724,825	24,869,290
EQUITY AND LIABILITIES			
Equity			
Share capital	15	15,000,000	15,000,000
Statutory reserve	16	-	288,470
Other components of equity	17	620,874	620,874
Actuarial reserve		80,009	109,125
Accumulated losses		(6,521,035)	(4,515,622)
TOTAL EQUITY		9,179,848	11,502,847
LIABILITIES			
Non-current liabilities			
Debt	18	7,763,791	4,785,303
Lease liabilities	19	181,789	200,612
Employee benefits	20	859,705	767,294
Total non-current liabilities		8,805,285	5,753,209
Current liabilities			
Current portion of debt	18	1,176,306	3,357,864
Current portion of lease liabilities	19	18,864	35,401
Current portion of employee benefits	20	131,336	114,283
Trade payables	21	2,346,317	3,061,346
Accruals and other current liabilities	22	1,057,367	1,039,659
Zakat provision	23	9,502	4,681
Total current liabilities	1	4,739,692	7,613,234
TOTAL LIABILITIES		13,544,977	13,366,443
TOTAL EQUITY AND LIABILITIES		22,724,825	24,869,290


Abdullah Al-Shehri
(General Manager Finance and Planning)


Sameeh Al-Sahafi
(Company's President)

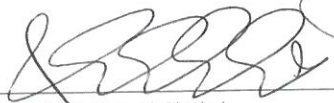

Abdullah Al-Garni
(Chairman of the Board of Directors)

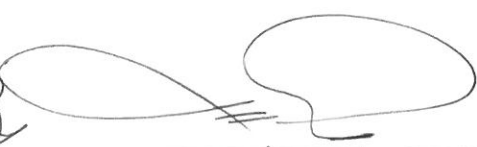
The accompanying notes from 1 to 35 form an integral part of these financial statements.

Statement of profit or loss and other comprehensive income

(All amounts in Saudi Riyals '000 unless otherwise stated)

	Notes	For the year ended 31 December 2025	For the year ended 31 December 2024
Revenue	24	8,458,846	8,726,026
Cost of sales	25	(9,352,710)	(9,368,490)
Gross loss		(893,864)	(642,464)
General and administrative expenses	25	(520,420)	(477,157)
Selling and distribution expenses	25	(280,412)	(254,914)
Other operating income - net	27	51,584	240,804
Operating loss		(1,643,112)	(1,133,731)
Finance income	26	6,953	27,272
Finance cost	26	(649,588)	(700,662)
Loss before zakat		(2,285,747)	(1,807,121)
Zakat (expense) / benefit	23	(8,136)	3,404
Loss for the year		(2,293,883)	(1,803,717)
Other comprehensive (loss) / income			
<i>Items that will not be reclassified to profit or loss:</i>			
Re-measurement (loss) / gain on defined benefit plans	20	(29,116)	22,488
Other comprehensive (loss) / income		(29,116)	22,488
Total comprehensive loss for the year		(2,322,999)	(1,781,229)
Loss per share (Saudi Riyals)			
Basic and diluted loss for the year attributable to the equity holders of the Company	28	(1.53)	(1.20)


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 (General Manager Finance and Planning)


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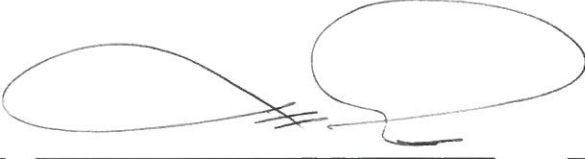
The accompanying notes from 1 to 35 form an integral part of these financial statements.

Statement of changes in equity

(All amounts in Saudi Riyals '000 unless otherwise stated)

	Share capital	Statutory reserve	Other components of equity	Actuarial reserve	Accumulated losses	Total equity
Balance as at 1 January 2024	15,000,000	288,470	620,874	86,637	(2,711,905)	13,284,076
Loss for the year	-	-	-	-	(1,803,717)	(1,803,717)
Other comprehensive income for the year	-	-	-	22,488	-	22,488
Total comprehensive loss for the year	-	-	-	22,488	(1,803,717)	(1,781,229)
Balance as at 31 December 2024	15,000,000	288,470	620,874	109,125	(4,515,622)	11,502,847
Balance as at 1 January 2025	15,000,000	288,470	620,874	109,125	(4,515,622)	11,502,847
Loss for the year	-	-	-	-	(2,293,883)	(2,293,883)
Other comprehensive loss for the year	-	-	-	(29,116)	-	(29,116)
Total comprehensive loss for the year	-	-	-	(29,116)	(2,293,883)	(2,322,999)
Transfer from statutory reserve (Note 16)	-	(288,470)	-	-	288,470	-
Balance as at 31 December 2025	15,000,000	-	620,874	80,009	(6,521,035)	9,179,848


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(General Manager Finance and Planning)


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(Chairman of the Board of Directors)

 The accompanying notes from 1 to 35 form an integral part of these financial statements.

Statement of cash flows

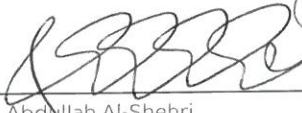
(All amounts in Saudi Riyals '000 unless otherwise stated)

		For the year ended 31 December 2025	For the year ended 31 December 2024
	Notes		
Cash flows from operating activities:			
Loss before zakat		(2,285,747)	(1,807,121)
<i>Adjustment for:</i>			
- Depreciation of property, plant and equipment	7	2,317,707	2,387,691
- Depreciation of right-of-use assets	8	37,411	38,205
- Amortisation of intangible assets	9	22,090	24,658
- Write-off of property, plant and equipment	27	18,530	21,925
- Provision for write-off of idle assets	7	-	23,876
- Provision / (reversal) for slow moving and obsolete inventories	12	28,323	(1,843)
- Income from insurance proceeds	27	(107,380)	(252,686)
- Employee benefits	20	107,681	82,172
- Finance cost	26	649,588	700,662
- Gain on derecognition of right of use assets and lease liabilities	27	-	(83)
- Finance income	26	(6,953)	(27,272)
		<u>781,250</u>	<u>1,190,184</u>
<i>Changes in:</i>			
Inventories		(36,373)	(135,254)
Trade receivables		266,595	(12,470)
Prepayments		13,921	(5,309)
Other current assets		(7,357)	30,690
Other non-current assets		(34,834)	(13,848)
Trade payables		(715,029)	1,480,397
Accruals and other current liabilities		(22,673)	184,823
Cash generated from operations		<u>245,500</u>	<u>2,719,213</u>
Insurance proceeds received for business interruption losses	7	84,077	93,750
Employee benefits paid	20	(69,513)	(34,072)
Finance income received	26	6,953	27,635
Finance cost paid	26	(566,384)	(668,316)
Zakat paid	23	(3,315)	(27,386)
Net cash (used in) / generated from operating activities		<u>(302,682)</u>	<u>2,110,824</u>
Cash flows from investing activities:			
Additions to property, plant and equipment		(647,840)	(690,768)
Additions to intangible assets	9	-	(2,420)
Insurance proceeds received for damaged assets	7	97,858	84,375
Net cash used in investing activities		<u>(549,982)</u>	<u>(608,813)</u>

Statement of cash flows (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

	Notes	For the year ended 31 December 2025	For the year ended 31 December 2024
Cash flows from financing activities:			
Repayment of debt	18	(7,236,448)	(1,743,886)
Proceeds from debt	18	7,993,150	-
Repayment of the principal portion of lease liabilities	19	(29,355)	(16,383)
Net cash generated from / (used in) financing activities		727,347	(1,760,269)
Net change in cash and cash equivalents		(125,317)	(258,258)
Cash and cash equivalents at the beginning of the year	14	296,353	554,611
Cash and cash equivalents at the end of the year	14	171,036	296,353
Non-cash transactions			
Transaction cost adjusted against debt proceeds	18	106,850	-
Additions to property, plant and equipment recognised against project accruals	22	40,381	68,646
Retirement of right-of-use assets and lease liabilities	19	6,978	-
Additions to right-of-use assets and lease liabilities	8	3,348	4,038
Impact of reassessment on right-of-use assets and lease liabilities	8	2,375	30,645
Transfer from property, plant and equipment to intangible assets	7	1,119	-
Transfer of employee benefits to related parties	20	796	3,940
Transfer from property, plant and equipment to other non current assets	7	-	2,640
Derecognition of right-of-use assets	8	-	409
Derecognition of lease liabilities	19	-	492


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(General Manager Finance and Planning)


Sameeh Al-Sahafi
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(Chairman of the Board of Directors)

Notes to the financial statements

(All amounts in Saudi Riyals '000 unless otherwise stated)

1. Corporate information

Saudi Kayan Petrochemical Company (Saudi Kayan) ("the Company") is a Saudi Joint Stock Company registered under Commercial Registration No. 2055008450 issued in Al Jubail on 26 Jumada'I 1428 H (12 June 2007G). The registered address of the Company is P.O. Box 10302, Al Jubail Industrial City, the Kingdom of Saudi Arabia. 35% of the Company's shares are owned by Saudi Basic Industries Corporation ("SABIC") and the remaining are held by the general public.

The Company is engaged in the production of polypropylene, propylene, acetone, polyethylene, ethoxylate, ethylene, ethylene glycol, bisphenol, ethanolamine, industrial fatty alcohol, polycarbonate and other petrochemical products under an industrial license No. 1428100189898 ending on 7 Rabi' al-Awwal 1452H (corresponding to 8 July 2030G) issued by the Ministry of Energy, Industry and Mineral Resources.

The Company has 33.33% interest in Saudi Butanol Company (SABUCO), a Saudi Arabian Mixed Limited Liability Company. SABUCO's principal activities comprise of a Butanol plant in Jubail for the production of N-Butanol and Iso-Butanol. All of the N-Butanol and Iso-Butanol produced by SABUCO is sold to the parties to the joint arrangement (i.e. the Company and its partners). Based on these facts and circumstances, it was assessed that the Company has rights to the assets and obligations for the liabilities relating to SABUCO. It has therefore been classified as a joint operation. The Company has accounted for its share of assets, liabilities, income and expenses based on its 33.33% shareholding interest.

Going concern

Loss before zakat for the year ended 31 December 2025 amounting to SR 2,285.7 million (31 December 2024: SR 1,803.7 million), primarily due to increase in feedstock prices and lower netback prices achieved for the Company's products. This resulted in the Company's accumulated losses as at 31 December 2025 to amount to Saudi Riyals (SR) 6,521.0 million (31 December 2024: SR 4,515.6 million) representing 43% (31 December 2024: 30%) of its share capital. Given the accumulated losses of the Company have exceeded 35% of its share capital, management has made a public announcement of this condition during the year in accordance with relevant regulations. The Company's current liabilities as at 31 December 2025 exceeded its current assets as at that date and the Company had net operating cash outflows for the year ended 31 December 2025 amounting to SR 302.7 million.

During the year ended 31 December 2025, the Company's management has prepared a business plan which has been approved by the Board of Directors and a cashflow forecast. As per the business plan and the cashflow forecast, the management expects improvement in the financial performance and operating cash flows of the Company mainly on account of improved sales prices and margins of the Company's products. Further, management obtained an additional ethane allocation from the Ministry of Energy in 2021 which is expected to be made available to the Company in 2026, which is anticipated to further reduce costs and improve margins in 2026 and beyond.

Furthermore, during the year ended 31 December 2025, the Company entered into a long-term loan restructuring arrangement, as detailed in Note 18, which alleviated immediate funding requirements and resulted in an improved liquidity position at the year end as compared to the prior year. Although at 31 December 2025 the Company's current liabilities exceeded its current assets by SR 713.8 million, this is substantially less than the mismatch between current assets and current liabilities as at 31 December 2024 that amounted to SR 3,121.6 million. The net current liabilities position as at 31 December 2025 is primarily due to expected scheduled debt repayments of SR 1,176.3 million (31 December 2024: SR 3,357.9 million) throughout 2026 which include SR 998.3 million (31 December 2024: SR 2,077.7 million) as current liability relating to the revolving credit facility (RCF).

The master facility agreement for this RCF is valid until 16 November 2027 and based on the terms of the agreement, a cash settlement cannot be enforced by the lender except in the case of non-compliance with the underlying covenants, a situation that management considers to be an unlikely event given the nature of these covenants. Accordingly, management of the Company believes that the repayment date of amounts due under the RCF will continue to be rolled over beyond the twelve-month period, as was done by the Bank in the prior years, and that the Company will have sufficient liquidity available over the next twelve months. In making this assessment, management has also considered the Company's ability to coordinate the timing of payments of amounts due to a related party, which constitute significant short-term cash outflows, as a measure to better manage potential working capital requirements.

Based on the above, management believes that the Company will be able to continue its operations and meet its obligations as they fall due within the next twelve months from the date of approval of these financial statements and have prepared these financial statements on a going concern basis. Further, in accordance with relevant laws and regulations applicable to the Company, if the accumulated losses of the Company amount to half of the issued capital, the Board of Directors shall require to announce the losses and the recommendations relating thereto, and call for an extraordinary general assembly meeting to consider the continuation of the Company by taking measures necessary to resolve such losses or the dissolution of the Company within a specified period of time.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

1. Corporate information (continued)

Statutory reserve

During the year ended 31 December 2025, the General Assembly of the Company resolved to transfer the existing balance in the statutory reserve to the retained earnings. Refer Note 16.

These financial statements were approved by the Board of Directors and authorized for issue on 24 February 2026G (corresponding to 7 Ramadan 1447H).

2. Basis of preparation

2.1 Statement of compliance

These financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") that are endorsed in the Kingdom of Saudi Arabia (KSA) and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants ("SOCPA") (collectively referred to as "IFRS as endorsed in KSA").

2.2 Basis of measurement

The financial statements are prepared under the historical cost convention using accrual basis of accounting, except for employee's end-of-service benefits obligation which is measured at the present value of the obligations using the projected unit credit method and certain trade receivables, which are measured at fair value. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services at the time of the transaction.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another technique. In estimating the fair value of an asset or a liability, the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis, except for leasing transactions that are within the scope of IFRS 16 'Leases', and measurements that have some similarities to fair value but are not fair value, such as net realizable value in IAS 2 'Inventories' or value in use in IAS 36 'Impairment of Assets'.

2.3 Functional and presentation currency

These financial statements are presented in SR, which is the functional currency of the Company. All financial information presented in these financial statements has been rounded off to the nearest thousands SR, unless otherwise stated.

Transactions and balances

Transactions in foreign currencies are initially recorded by the Company at their respective functional currency spot rates at transaction date. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognized in the profit or loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on change in fair value of the item.

	31 December 2025		31 December 2024	
	Closing rates	Average rates	Closing rates	Average rates
- United States Dollars (USD)	3.75	3.75	3.75	3.75
- Euro (EUR)	4.41	4.24	3.90	4.06

Notes to the financial statements

(All amounts in Saudi Riyals '000 unless otherwise stated)

3. Significant accounting estimates, assumptions and judgements

The preparation of these financial statements requires management to make judgements, estimates and assumptions at the reporting date that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities. However, uncertainty about these assumptions and estimates could result in outcomes that could require material adjustments in the future to the carrying amount of the asset or liability affected.

The estimates and assumptions are based upon experience and various other factors that are believed to be reasonable under the circumstances and are used to judge the carrying values of assets and liabilities that are not readily apparent from other sources. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised, if the changed estimates affect both current and future periods.

Other disclosures relating to the exposure to risks and uncertainties include:

- Capital management, financial instrument risk management and policies (Note 33)
- Sensitivity analyses disclosures (Notes 7, 12, 19, 20 and 33)

3.1 Critical judgements in applying accounting standards

In addition to the application of the judgement in the above-mentioned estimates and assumptions and as set out in the going concern section of Note 1, the following critical judgements have the most significant effect on the amounts recognised in the financial statements:

3.1.1 Determination of single cash generating unit

The management believes that all fully owned constructed plants were pre-conditioned with the gas allocation agreement, and the Company does not have the option to curtail/discontinue any one of these plants without approvals from the regulator. Accordingly, the lowest level of identifiable cash inflows that are largely independent of the cash inflows from other assets or group of assets are the cash inflows generated by all plants together. Therefore, the Company's fully owned plant as a whole is considered as a single cash generating unit for the purpose of impairment testing.

The group of assets relating to the Company's interest in SABUCO, a jointly controlled operation, are considered a separate cash generating unit as those assets are not bound the gas allocation agreement referred to above.

3.1.2 Component parts of plant and equipment

The Company's plant and equipment are broken down into significant components and depreciated on a straight-line basis over their economic useful lives. Judgement is required in ascertaining the significant components of a larger asset. In defining the significance of a component, management considers quantitative materiality of the component part as well as qualitative factors such as difference in useful life as compared to related asset.

3.1.3 Determining the lease term of contracts with renewal and terminations options

The Company determines the lease term as non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Company has several lease contracts that include extension and termination clauses. The Company applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for the Company and for the lessor to exercise either the renewal or termination. After the commencement date, the Company reassesses the lease term if there is a significant event or change in the circumstances that affects its ability to exercise or not to exercise the option to renew or to terminate the contract. Also see Note 8.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

3. Significant accounting estimates, assumptions and judgements (continued)

3.1. Critical judgements in applying accounting standards (continued)

3.1.4 Entities acting as the Company's paying agent

Management exercised judgment in assessing whether another entity acts as the Company's paying agent on the basis of the following;

- a) whether the Company has the ability to direct that entity to make a payment of cash on its behalf;
- b) whether that other entity has discretion around the timing or amount of the cash flows; and
- c) whether the receiving parties understand the receipt to be on the Company's behalf.

Based on above factors together with the application of judgment, the management has presented the debt restructuring cash flows on a gross basis in the statement of cash flows, showing both the settlement of existing loan arrangements and the initiation of new loans. Also see Note 18.

3.2 Estimates and assumptions

In addition to matters disclosed in the going concern section of Note 1, other key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing material differences in the carrying amounts of assets and liabilities within the next financial period, are disclosed below. The Company used these assumptions and estimates on the basis available when the financial statements were prepared. However, existing circumstances and assumptions about future developments may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

3.2.1 Impairment of non-current assets

Impairment of non-current assets occur when the carrying value of an asset or Cash Generating Unit (CGU) exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing off the asset. The value in use is based on a Discounted Cash Flow (DCF) model. The cash flows are derived from the budget and business plan for the next five years and do not include restructuring activities that the Company has not yet committed to or significant future investments that will enhance the performance of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future selling prices. Also see Note 7.

3.2.2 Incremental borrowing rate for lease agreements

The Company cannot readily determine the interest rate implicit in the lease agreement, therefore, it uses its Incremental Borrowing Rate ("IBR") to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available. The Company estimates the IBR using observable inputs, such as market interest rates when available and is required to make certain entity-specific estimates.

3.2.3 Provisions

By their nature, the measurement of provisions depends upon estimates and assessments whether the criteria for recognition have been met, including estimates of the probability of cash outflows. Provisions for litigation are based on an estimate of costs, taking into account legal advice and other information available. Provisions for termination benefits and exit costs, if any, also involve management's judgment in estimating the expected cash outflows for severance payments and site closures or other exit costs. Provisions for uncertain liabilities involve management's best estimate of whether cash outflows are probable.

3.2.4 Defined employee benefit plans

Post-employment defined benefits plans, end-of-service benefits plans, indemnity payments and other long-term employee related liabilities represent obligations that will be settled in the future and require actuarial valuations to determine these obligations. Management is required to make further assumptions regarding variables such as discount rates, rate of salary increase, longevity, employee turnover and future healthcare costs, if applicable. Periodically, management of the Company consults with external actuaries regarding these assumptions. Changes in key assumptions can have a significant impact on the projected benefit obligations and employee defined benefit costs. The assumptions are reviewed at each reporting date.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

3. Significant accounting estimates, assumptions and judgements (continued)

3.2 Estimates and assumptions (continued)

3.2.5 Useful lives of property, plant, and equipment

Management determines the estimated useful lives of property, plant and equipment for calculating depreciation. This estimate is determined after considering expected usage of the assets and physical wear and tear. Management reviews the residual value and useful lives annually and change in depreciation charges, if any, are adjusted in current and future periods.

3.2.6 Provisional price

The Company markets and sells its petrochemical products primarily through the distribution platform of SABIC (the marketer). The sales are initially recorded at provisional prices agreed with the marketer at the time of shipment, which requires estimation. These prices are subsequently adjusted based on actual selling prices received by the marketer from their customers deducting shipping, distribution and selling cost, and a marketing fee to cover all other marketing expenses.

3.2.7 Inventory at net realizable value

The cost of inventories shall comprise all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. However, the inventories are presented at lower of cost and net realizable value. If the finished products in which they are to be incorporated are expected to be sold at or above cost. However, if a decline in the price of materials indicates that the cost of the finished products will exceed their net realizable value, the materials should be impaired to the net realisable value.

The estimates of net realizable value are based on the most reliable evidence available at the time the estimates are made as to the amount the inventories are expected to realize.

4. Changes in accounting policies

The amendments to IFRS, which are relevant to the Company and that have been applied on 1 January 2025 by the Company are described below:

4.1 Lack of Exchangeability – Amendments to IAS 21 The effects of changes in foreign exchange rates

The amendment prescribes accounting when there is a lack of exchangeability in the currency of an entity when it has a transaction or an operation in a foreign currency. A currency is exchangeable when there is an ability to obtain the other currency (with a normal administrative delay), and the transaction would take place through a market or exchange mechanism that creates enforceable rights and obligations. As there are no major transactions or the operations of the Company where the entity is subject to lack of exchangeability.

This amendment does not have any significant impact on the Company's financial statements.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

5. IFRS issued but not yet effective

The IFRS that are issued and relevant for the Company, but not yet effective, are elaborated below. These standards will be adopted by the Company when they become effective or endorsed by the local jurisdiction.

5.1 Amendments to the classification and measurement of financial instruments (Amendments to IFRS 9 – 'Financial Instruments' and IFRS 7 – 'Financial Instruments: Disclosures')

The amendments clarify financial assets and financial liabilities are recognized and derecognized at settlement date except for regular way purchases or sales of financial assets and financial liabilities meeting conditions for new exception. The new exception permits companies to elect to derecognize certain financial liabilities settled via electronic payment systems earlier than the settlement date.

Additionally, the amendments clarify with further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) test which apply to all contingent cash flows, including those arising from environmental, social, and governance (ESG)-linked features. These amendments also introduce new disclosure requirements and update others.

The amendment is effective for annual reporting periods beginning on or after 1 January 2026 and will be adopted by the Company when applicable.

5.2 IFRS 18 'Presentation and Disclosure in Financial Statements'

IFRS 18 is the new standard on presentation and disclosure in financial statements, with a focus on updates to the statement of profit or loss. IFRS 18 replaces IAS 1, which sets out presentation and base disclosure requirements for financial statements. The changes, which mostly affect the income statement, include the requirement to classify income and expenses into three new categories – operating, investing, and financing – and present subtotals for operating profit or loss and profit or loss before financing and income taxes. The new standard also requires disclosures in the financial statements for certain management-defined performance measures that are reported outside an entity's financial statements and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general.

The new standard is effective for annual reporting periods beginning on or after 1 January 2027 and will modify the Company's income statement presentation. The new standard will be adopted when applicable.

Management is in the process of assessing the impact of such new standards and interpretations on its financial statements.

5.3 Amendments to IFRS 9 and IFRS 7 with respect to Power Purchase Agreements (PPAs)

On 18 December 2024, IASB issued highly anticipated and deliberated amendment to lend clarity on the accounting exemption and hedge application on the nature-dependent electricity contracts that are often structured as power purchase agreements (PPAs). The IASB has now clarified vide targeted amendments to IFRS 9: Financial Instruments, the application of "own use" exemptions to such PPAs. Additionally, IASB has also permitted hedge accounting if these agreements are used as hedging instruments. Consequently, IASB has amended IFRS 7 Financial Instruments: Disclosures to add disclosure requirements to enable investors to understand the effect of these PPAs on a company's financial performance and cash flows.

These amendments are effective for annual reporting periods beginning on or after 1 January 2026. Early application of the amendments is permitted. The new standard will be adopted when applicable.

6. Material accounting policy information

The material accounting policies adopted by the Company in preparing these financial statements are applied consistently as follows:

6.1 Investments in joint arrangements

Investments in joint arrangements

Investments in joint arrangements are classified as either joint operations or joint ventures. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.1 Investments in joint arrangements (continued)

Joint operations

A joint operation is a joint arrangement whereby the parties that have joint control on the arrangement have rights to the assets, and obligations for the liabilities, relating to the arrangement. The Company recognises its direct right to the assets, liabilities, revenues and expenses of joint operations and its share of any jointly held or incurred assets, liabilities, revenues, and expenses for its joint operations.

When the Company's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Company does not recognise further losses, unless it is liable due to constructive or legal obligations on behalf of the other entity.

Unrealised gains on transactions between the Company, and its associates and joint ventures are eliminated to the extent of the Company's interest in these entities. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

6.2 Current versus non-current classification

The Company presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle; or
- Held primarily for the purpose of trading; or
- Expected to be realised within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle; or
- It is held primarily for the purpose of trading; or
- It is due to be settled within twelve months after the reporting period; or
- The Company has no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Company classifies all other liabilities as non-current.

6.3 Zakat

Zakat

Zakat is levied based on adjusted income subject to zakat or the zakat base in accordance with the Regulations of ZATCA in KSA whatever is higher. The Company computes its zakat by using the zakat base. The zakat provision is charged to profit or loss. Differences, if any, resulting from the final assessments are adjusted in the period of their finalisation.

Uncertain zakat and tax positions

Uncertain positions relate to risk or uncertainty over complex zakat and tax treatments. Such uncertain zakat and tax positions are measured using the single most likely amount or the expected value method, depending on which method is expected to better predict the resolution of the uncertainty.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.4 Property, plant and equipment

Property, plant and equipment are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such costs include the cost of replacing part of the property, plant and equipment and borrowing costs for long term construction projects (qualifying assets), if the recognition criteria are met. Where such assets are constructed inhouse, their cost includes all amounts necessary to bring the asset to the present condition and location to be ready for intended use by management and excludes all costs such as general and administrative expenses and training costs. Any feasibility study costs are expensed as incurred unless they relate to specifically identifiable asset being constructed inhouse and are directly attributable to it.

When parts of property, plant and equipment are significant in cost in comparison to the total cost of the item, and where such parts/components have a useful life different than other parts and are required to be replaced at different intervals, the Company shall recognize such parts as individual assets with specific useful lives and depreciate them accordingly. Likewise, when a major inspection (turnaround/shutdown, planned) is performed, its directly attributable cost is recognized in the carrying amount of the property, plant and equipment if the recognition criteria are satisfied. This is recorded as a separate component with a useful life generally equal to the time period up to the next scheduled major inspection (turnaround). If the next turnaround occurs prior to the planned date, any existing book value of the previous turnaround is expensed immediately. All other repair and maintenance costs are recognized in profit or loss as incurred.

The present value of the expected cost for the decommissioning of an asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met and the amounts are material. The Company will periodically assess the expectation and estimation for the decommissioning liability.

Depreciation is calculated from the date the item of property, plant and equipment are available for its intended use or in respect of self-constructed assets, from the date such assets are ready for the intended use.

Depreciation is calculated on a straight-line basis over the useful life of the asset as follows:

Plant and equipment	2 – 50 years
Buildings	13 – 40 years
Furniture, fixtures and office equipment	4 – 20 years
Vehicles	4 years
Catalysts	1.5 – 20 years

Assets under construction, which are not ready for their intended use, are not depreciated. An item of property, plant and equipment and any significant part initially recognized is derecognized upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the profit or loss.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The assets' residual values, useful lives and methods of depreciation are periodically reviewed, and adjusted prospectively in case of a significant change in the assets technological capabilities or estimated planned use.

6.5 Right of use assets

Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

Lands	4 – 99 years
Tanks	11 years
Housing	2 – 9 years
Vehicles	4 years
Pipelines	20 years

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.6 Leases

The Company assesses at contract inception whether a contract is, or contains, a lease by assessing whether the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Leases are recognised as right-of-use assets along with their corresponding liabilities at the date of which the leased assets are available for use by the Company. Each lease payment is allocated between the liability and finance cost. The finance cost is recognised in the profit or loss over the lease term. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Right-of-use assets are initially measured at cost comprising the amount of the initial measurement of lease liability, any lease payments made at or before the commencement date less any lease incentives received, any initial direct costs, and restoration costs; if applicable.

Lease liabilities include, if applicable, the net present value of fixed payments including in-substance fixed payments, less any lease incentives receivable, variable lease payment that are based on an index or a rate, amounts expected to be payable by the lessee under residual value guarantees, the exercise price of a purchase option if the lessee is reasonably certain to exercise that option, and payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

Short-term and low value assets leases

Short-term leases are leases with a lease term of 12 months or less. Low-value assets are items that do not meet the Company's capitalisation threshold and are considered to be insignificant for the statement of financial position for the Company as a whole. Payments for short-term leases and leases of low-value assets are recognised on a straight-line basis in the profit or loss.

Variable lease payments

Some leases contain variable payments that are linked to the usage or performance of the leased asset. Such payments are recognised in the profit or loss.

Extension and termination options

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option. Extension options or periods after termination options are only included in the lease term if the lease is reasonably certain to be extended or not terminated. The Company assesses at lease commencement whether it is reasonably certain to exercise the extension options. The Company reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant change in circumstances within control.

6.7 Cash and cash equivalents

Cash and short-term deposits in the statement of financial position comprise cash at banks and on hand and short-term highly liquid deposits with a maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

6.8 Short-term investments

Short term investments represent Murabaha commodity deposits with maturity over three months and less than a year upon acquisition are presented under current assets. These deposits are maintained with local and foreign commercial banks in SR and USD and carry profit at commercial rates. These are measured at amortized cost.

6.9 Intangible assets

Intangible assets acquired separately are measured at cost upon initial recognition. Intangible assets acquired in a business combination are measured at fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses, if any. Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indicator that the intangible asset may be impaired. The estimated useful life and amortization method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. The amortization expense on intangible assets with finite lives is recognized in the profit or loss in the expense category that is consistent with the function of the intangible asset.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.9 Intangible assets (continued)

Research costs are expensed as incurred. Development expenditures on an individual project are recognized as an intangible asset when the Company can demonstrate:

- The technical feasibility of completing the intangible asset so that the asset will be available for use or sale
- Its intention to complete and its ability and intention to use or sell the asset
- How the asset will generate future economic benefits
- The availability of resources to complete the asset

Amortization of the intangible asset begins when development is complete and the asset is available for use. It is amortised over the period of expected future benefit. Amortization is recorded in the profit or loss. During the period of development, the asset is tested for impairment annually.

Technology and innovation expense related to product development is recorded in profit or loss in general and administrative expenses and expense related to process improvement is recorded in cost of sales.

The amortization period for intangible assets with a finite useful life is as follows:

Licenses	20 year
Softwares and IT development	3-20 year

6.10 Impairment of non-current assets

The Company assesses at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the assets recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset or CGU is considered impaired and is written down to its recoverable amount.

In assessing the value in use, the estimated future cash flows are discounted to their present value using a post-tax discount rate that reflects current market assessment of the time value of money and the risks specific to the asset.

The Company's impairment calculation is based on detailed budgets and forecast calculations. These budgets and forecast calculations are generally covering a five-year period. A long-term growth rate is calculated and applied to project future cash flows after the budget period using a terminal value.

Impairment losses of continuing operations, including impairment on working capital, if applicable, are recognized in the profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date to determine whether there is an indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Company estimates the asset's or CGU's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. This reversal is limited such that the recoverable amount does not exceed what the carrying amount would have been, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss.

6.11 Financial assets

Classification of financial assets depends on the Company's business model for managing its financial assets and the contractual terms of the cash flows. The Company classifies its financial assets as:

- Financial assets measured at amortised cost, or
- Financial assets measured at fair value through profit or loss or through other comprehensive income.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.11 Financial assets (continued)

In order for a financial asset to be classified and measured at amortised cost or fair value through other comprehensive income ("OCI"), it needs to give rise to cash flows that are 'Solely Payments of Principal and Interest' ("SPPI") on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

Revenue contracts provide for provisional pricing at the time of shipment to the marketer with the final pricing based on the final price realised by the marketer from the final customer after deducting certain expenses and marketing fee. Such trade receivables are measured at fair value because the contractual cash flows are not solely payments of principal and interest. Other trade receivables meet the criteria for amortized cost under IFRS 9.

Initial measurement

Financial assets are initially measured at their fair value plus transaction costs. Transaction costs of financial assets carried at fair value through profit or loss are recognised in the profit or loss. Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows meet the requirements as solely payment of principal and interest.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- *Financial assets at amortised cost (Debt Instruments)*

Financial assets at amortised cost are subsequently measured using the Effective Interest Rate ("EIR") method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognised, modified or impaired. The Company's financial assets at amortised cost include cash and cash equivalents, short-term investments and trade and other receivables, other than those subsequently measured at FVTPL.

- *Financial assets at 'Fair Value through Other Comprehensive Income' ("FVOCI") with recycling of cumulative gains and losses (Debt Instruments)*

For debt instruments at FVOCI, finance income, foreign exchange revaluation and impairment losses or reversals are recognised in the profit or loss and computed in the same manner as for financial assets measured at amortised cost. The remaining fair value changes are recognised in OCI. Upon derecognition, the cumulative fair value change recognised in OCI is recycled to profit or loss.

- *Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (Equity Instruments)*

The Company measures all equity investments at fair value and presents changes in fair value of equity investments in OCI. Dividends from such investments continue to be recognised in the profit or loss as other income when the Company's right to receive payments is established. Gains and losses on these financial assets are never recycled to the profit or loss.

- *Financial assets at Fair Value Through Profit or Loss ("FVTPL")*

Financial assets that do not meet the criteria for subsequent recognition at amortised cost or FVOCI are measured at FVTPL. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and which is not part of a hedging relationship is recognised and presented net in the profit or loss in the period in which it arises. Trade receivables related to contracts with provisional pricing arrangements are subsequently measured at FVTPL.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.11 Financial assets (continued)

De-recognition

A financial asset or a part of a financial asset is de-recognised when:

- The rights to receive cash flows from the asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - a) The Company has transferred substantially all the risks and rewards of the asset, or
 - b) The Company has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

Impairment

The Company assesses on a forward-looking basis the Expected Credit Loss ("ECL") associated with its debt instruments as part of its financial assets, which are carried at amortised cost and FVOCI. The ECL is based on a 12-month ECL or a lifetime ECL. The 12-month ECL results from default events on a financial instrument that are possible within 12 months after the reporting date. When there has been a significant increase in credit risk since initial recognition, the allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (the lifetime ECL).

For accounts receivables, other than those subsequently measured at FVTPL, the Company applies the simplified approach in calculating ECL. Therefore, the Company does not track changes in credit risk, but instead recognized a loss allowance based on lifetime ECL at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

6.12 Financial liabilities

Initial recognition and measurement

Financial liabilities are classified under either of the below two classes:

- Financial liabilities at FVTPL; and
- Other financial liabilities measured at amortised cost using the EIR method.

The category of financial liability at FVTPL has two sub-categories:

- *Designated:* A financial liability that is designated by the entity as a liability at FVTPL upon initial recognition; and
- *Held for trading:* A financial liability classified as held for trading, such as an obligation for securities borrowed in a short sale, which have to be returned in the future. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

All financial liabilities are recognised initially when the Company becomes party to contractual provisions and obligations under the financial instrument. The liabilities are recorded at fair value, and in the case of loans and borrowings and payables, the proceeds received net of directly attributable transaction costs.

Subsequent measurement

Financial liabilities at FVTPL continue to be recorded at fair value with changes being recorded in the profit or loss.

For other financial liabilities, including loans and borrowings, after initial recognition, these are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in the profit or loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR method. The EIR amortisation is included as finance costs in the profit or loss.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.12 Financial liabilities (continued)

Trade and other payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of financial period which are unpaid. The amounts are unsecured and are usually paid within 30 to 60 days of recognition. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at amortised cost using the EIR method.

De-recognition

A financial liability is derecognised when the obligation under the liability is settled or discharged. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the profit or loss.

The Company assesses whether terms are substantially different considering both the quantitative test prescribed in the financial reporting framework and relevant qualitative factors.

6.13 Offsetting of financial instruments

Financial assets and financial liabilities are offset, and the net amount is disclosed in the statement of financial position if there is a currently enforceable legal right to offset recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities simultaneously.

6.14 Provisions

General

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the obligation amount. If the effect of the time value of money is material, provisions are discounted using a current pre-zakat rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as finance cost.

De-commissioning liability

The Company records a provision for de-commissioning costs of manufacturing facilities when an obligation exists and the amounts are material. De-commissioning costs are provided at the present value of expected costs to settle the obligation using estimated cash flows and are recognised as part of the cost of the particular asset. The cash flows are discounted at a current pre-tax rate that reflects the risks specific to the de-commissioning liability. The unwinding of the discount is expensed as incurred and recognised in the profit or loss as a finance cost.

The estimated future cost of de-commissioning is reviewed annually and adjusted as appropriate. Changes in the estimated future costs or in the discount rate applied are added to or deducted from the cost of the asset.

6.15 Inventories

Inventories, including raw materials, work in progress, finished goods, and consumables and spare parts are measured at the lower of cost i.e. historical purchase prices based on the weighted average principle plus directly attributable costs or the net realisable value.

Inventories of work in progress and finished goods include cost of materials, labour and an appropriate proportion of direct overheads.

Abnormal inventory losses due to quality or other issues and overheads incurred during unplanned maintenance / shut down period are excluded from inventory costs. The allocation of overheads at period end for the purpose of inventory valuation are based on the higher of normal capacity or actual production for the period. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to complete a sale.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.15 Inventories (continued)

Scrap inventory, co-product and by-product

Production process in the Company sometimes results in production of co-product simultaneously, or may result in some by-products or scraps (either non-usable or recyclable). When the costs of conversion of such co/by-product and/or scrap are not separately identifiable from the main product cost, they are allocated on a rational and consistent basis to such products and co/by-product and scrap. The allocation is based on the relative sales value of each product either at the stage in the production process when the products become separately identifiable, or at the completion of production.

Where by-products and scrap are immaterial and where costs cannot be allocated to them or it is inefficient to do so, these items are measured under inventory at net realizable value and this value is deducted from the cost of the main product. As a result, the carrying amount of the main product inventory is not materially different from its cost. In the profit or loss, the net realizable value for the by-products and scrap reduces the cost of sales for the period. Upon subsequent sale of such by-product, the proceeds are recorded as revenue with a corresponding cost of sale being recorded based on earlier recorded net realizable value, while for scrap, the proceeds, net of cost is recorded as other income.

Consumable spare parts

Consumables are ancillary materials which are consumed in the production of semi-finished and finished products. Consumables may include engineering materials, one-time packaging materials and certain catalysts.

Capital spare parts.

Spare parts are the interchangeable parts of property, plant and equipment, which are considered to be essential to support routine maintenance, repair and overhaul of plant and equipment or to be used in emergency situations for repairs. The Company maintains the following different types of spare parts:

- Stand-by equipment items acquired together with the plant/production line or purchased subsequently but related to a particular plant or production line and will rarely be required are critical to plant operation and must be available at standby at all times. These are capitalized as part of property, plant and equipment and depreciated from purchase date over a period which is shorter of the component's useful life or the remaining useful life of the plant in which it is to be utilized. These do not form part of inventory provided capitalization criteria under property, plant and equipment is met.
- Repairable items that are plant/production line specific with long lead times and will be replaced and refurbished frequently (mostly during turnarounds). These are capitalized as part of property, plant and equipment where the capitalization criteria are met. Depreciation is started from day of installation of these items in the plant, and the depreciation period is the shorter of the useful life of the component and the remaining useful life of the related property, plant and equipment in which it is installed. These do not form part of inventory.
- General spares and other consumables items which are not of a critical nature and are of a general nature, i.e., not plant specific and can be used in multiple plants or production lines and any other items which may be required at any time for facilitating plant operations. They are generally classified as 'consumables and spare parts' under inventory, unless they exceed the capitalisation threshold and have a useful life of more than one year, under which case they are recorded under property, plant and equipment. Items recorded under inventory are subject to assessment for obsolescence provision and are charged to the profit or loss upon their installation or use. Where such items meet criteria for capitalization, their depreciation method is similar to repairable items as noted above.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.16 Employee benefits

Long-term employee benefits obligations

Long-term employee benefit obligations are measured at the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method and recorded as non-current liabilities. Consideration is given to expected future salary increase and historic attrition rates. Expected future payments are discounted using market yields at the end of the reporting period of high-quality corporate or government bonds with terms and currencies that match, as closely as possible, the estimated future cash outflows. Re-measurements as a result of changes in actuarial assumptions are recognised in other comprehensive income. The Company offers various post-employment schemes, including both defined contribution and defined benefit plans, and post-employment medical and life insurance plans for eligible employees and their dependents.

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions to a separate entity and will have no legal or constructive obligation to pay amounts. The contributions are recognised as employee benefit expense when these are due.

Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company primarily has end of service benefits and post-retirement medical and life insurance plans, which qualify as defined benefit plans.

Savings plan

The Company offers a savings plan to encourage its Saudi employees to make savings in a manner that will warrant an increase in their income and contribute to securing their future according to the established plan. The saving contributions from the participants are deposited in a separate bank account other than the Company's normal operating bank accounts (but not in any separate legal entity). Employee saving plan qualifies as a defined benefit plan and represents the contribution made by the employee and the Company in accordance with the HR policy and is presented as current liabilities.

End of service benefits

For the liability for employee end of service benefits, the actuarial valuation process takes into consideration the provisions of the Saudi Arabian Labour and Workmen Law as well as the Company policy.

The liability recognised in the statement of financial position in respect of defined benefit post-employment plans is the present value of the projected Defined Benefits Obligation ("DBO") at the reporting date.

DBO is re-measured on a periodic basis by independent actuaries using the projected unit credit method. The present value of the DBO is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. In countries where there is no deep market in such bonds, the market rates on government bonds are used. The net finance cost is calculated by applying the discount rate to the net balance of the DBO and the fair value of plan assets.

Service costs are calculated, using the actuarially determined pension cost rate at the end of the prior year, adjusted for significant market fluctuations and for any significant one-off events, such as plan amendments, curtailments and settlements. In the absence of such significant market fluctuations and one-off events, the actuarial liabilities are rolled forward based on the assumptions as at the beginning of the year. If there are significant changes to the assumptions or arrangements during the interim period, consideration is given to re-measure such liabilities and the related costs.

Re-measurement gains and losses arising from changes in actuarial assumptions are recognised in the period in which they occur in OCI. Changes in the present value of the DBO resulting from plan amendments or curtailments are recognised immediately in the profit or loss as past service costs.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.16 Employee benefits (continued)

End of service benefits (continued)

When the benefit plans are amended, the portion of the change in benefit relating to the past service by employees is recognised as an expense or income; if applicable, on a straight-line basis over the average period until the benefits become vested in the profit or loss. To the extent that benefits vest immediately, the expense or income, if applicable is recognised immediately in profit or loss.

Current and past service costs related to post-employment benefits are recognised immediately in the profit or loss while unwinding of the liability at discount rates used are recorded as finance cost. Any changes in net liability due to actuarial valuations and changes in assumptions are taken as re-measurement in OCI.

Employee Home Ownership Program ("HOP")

The Company has established employee's HOP that offer eligible employees the opportunity to buy residential units constructed by the Company through a series of payments over a particular number of years. Ownership of the houses is transferred upon completion of full payment.

Under the HOP, the amounts paid by the employee towards the house are repayable back to the employee in case the employee discontinues employment, and the house is returned back to the Company. HOP is recognised as a non-current prepayment asset at time the residential units are allocated to the employees and are amortised over the repayment period of the facility due from employees.

Employee Home Loan Program ("HLP")

The Company provides interest free home loan to its eligible employees for purposes related to purchase or building of a house or apartment. The loan is repaid in monthly instalment by deduction of employee's pay.

HLP is recognised as a non-current financial asset at fair value and measured at amortised cost using the EIR method. The difference between the fair value and the actual amount of cash given to the employee is recognised as a "non-current prepaid employee benefit" and is amortised as an expense equally over the period of service. The same amount is also amortised as finance income against the receivable from employees.

Medical insurance

The Company provides post-retirement healthcare benefits to its eligible retirees and certain family members for 5 years. The expected costs of these benefits are accrued over the period of employment using the same accounting methodology as used for defined benefit plans. Re-measurement gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited as other comprehensive income in the period in which they arise. These obligations are valued annually by independent qualified actuaries.

The accounting for these plans requires that management makes certain assumptions relating to discount rates used to measure future obligations and expenses, salary scale inflation rates, health care cost trend rates, mortality and other assumptions. These estimates are highly susceptible to change from period to period based on the performance of plan assets (if any), actuarial valuations, market conditions and contracted benefit changes. The selection of assumptions is based on historical trends, future estimates based on economic and market conditions at the time of valuation. However, actual results may differ substantially from the estimates that were based on the critical assumptions used.

6.17 Earnings per share

Basic earnings per share is calculated by dividing the net income attributable to equity holders of the Company, excluding any costs of servicing equity other than ordinary shares, by the weighted average number of ordinary shares outstanding during the financial period, adjusted for bonus elements in ordinary shares issued during the year and excluding treasury shares.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

6. Material accounting policy information (continued)

6.18 Revenue recognition

The Company recognises revenue when control of the products sold transfers to the customer, which shall be considered in the context of a five-step approach and applying the applicable shipping terms.

Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. Revenue arrangements are assessed against specific criteria to determine whether the Company is acting as a principal or agent.

All the product sales made to SABIC (referred to as the 'Marketer') under the marketing and offtake agreements, and upon the delivery of products to the Marketer, sales are recorded at provisional selling prices which are later adjusted based upon actual selling prices received by the Marketer from third parties, after deducting costs of shipping, distribution and marketing. Adjustments are recorded as they become known to the Company.

Provisional pricing

Revenue contracts with the marketer provide for provisional pricing at the time of shipment, with final pricing based on price realised by the marketer from the final customer after deducting certain expenses and marketing fee. Revenue on these contracts is recorded at the provisional price at the time control is transferred to the marketer. Any difference between the provisional and the final price is recorded as a change in fair value of the related receivable, as part of revenue, in the profit or loss.

6.19 Expenses

Cost of sales

All expenses are recognized on an accrual basis. Operating costs are recognized on a historical cost basis. Production costs and direct manufacturing expenses are classified as cost of sales. This includes raw material, direct labor and other attributable overhead costs. Other costs such as selling costs are recorded as selling and distribution expenses while all other remaining costs are presented as general and administrative expenses.

Selling and distribution expenses

These include any costs incurred to carry out or facilitate all selling activities at the Company. These costs typically include distribution and logistics expenses as well as allocations of certain general overheads.

General and administrative expenses

These pertain to operation expenses which are not directly related to the production or selling of any goods or services. These also include allocations of general overheads which are not specifically attributed to cost of sales or selling and distribution expenses. Allocation of overheads between cost of sales, selling and distribution expenses, and general and administrative expenses, where required, is made on a consistent basis based on predetermined rates as appropriate by the Company.

6.20 Finance income

For all financial instruments measured at amortised cost and interest-bearing financial assets, finance income is recorded using the EIR, which is the rate that discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or liability.

6.21 Finance cost

Finance cost is recognised for the interest due to the lender of all financial liabilities measured at amortised cost, using the EIR. EIR is the rate that discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial liability. These include bonds, conventional notes, Murabaha, etc. Additionally, the finance cost also includes time value of money for all the lease liabilities recognised. Finance cost is also recognised due to passage of time whenever a provision or liability has been discounted to its present value.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

7. Property, plant and equipment

	Plant and equipment	Buildings	Furniture, fixtures and office equipment	Vehicles	Catalyst	Assets under construction (i)	Total
For the year ended 31 December 2025							
Cost:							
At the beginning of the year	45,662,648	2,594,594	354,151	10,206	634,765	484,661	49,741,025
Additions	129,338	636	3,800	-	2,024	552,423	688,221
Transfers	135,698	-	506	-	23,911	(160,115)	-
Transfers to intangible	-	-	-	-	-	(1,119)	(1,119)
Write offs related to turnaround (ii)	(970,760)	-	-	-	-	-	(970,760)
Write offs (iii)	(2,332)	-	(350)	-	-	(16,421)	(19,103)
At the end of the year	44,954,592	2,595,230	358,107	10,206	660,700	859,429	49,438,264
Accumulated depreciation:							
At the beginning of the year	27,892,366	1,008,980	338,690	10,041	572,542	-	29,822,619
Charge for the year	2,181,497	80,010	4,936	133	51,131	-	2,317,707
Write offs related to turnaround (ii)	(970,760)	-	-	-	-	-	(970,760)
Write offs (iii)	(223)	-	(350)	-	-	-	(573)
At the end of the year	29,102,880	1,088,990	343,276	10,174	623,673	-	31,168,993
Net book value:							
As at 31 December 2025	15,851,712	1,506,240	14,831	32	37,027	859,429	18,269,271
For the year ended 31 December 2024							
Cost:							
At the beginning of the year	45,321,583	2,574,913	351,437	10,206	680,931	293,991	49,233,061
Additions	439,299	10,056	1,534	-	(134)	308,659	759,414
Transfers	131,471	9,625	1,180	-	(38,542)	(103,734)	-
Transfers to HOP	-	-	-	-	-	(2,640)	(2,640)
Write offs (iv)	(229,705)	-	-	-	(7,490)	(11,615)	(248,810)
At the end of the year	45,662,648	2,594,594	354,151	10,206	634,765	484,661	49,741,025
Accumulated depreciation:							
At the beginning of the year	25,800,207	930,083	333,066	9,908	564,673	-	27,637,937
Charge for the year	2,254,379	78,897	5,624	133	48,658	-	2,387,691
Transfers	33,299	-	-	-	(33,299)	-	-
Write offs (iv)	(219,395)	-	-	-	(7,490)	-	(226,885)
Provision for write-off of idle assets (v)	23,876	-	-	-	-	-	23,876
At the end of the year	27,892,366	1,008,980	338,690	10,041	572,542	-	29,822,619
Net book value:							
As at 31 December 2024	17,770,282	1,585,614	15,461	165	62,223	484,661	19,918,406

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

7. Property, plant and equipment (continued)

- (i) The assets under construction mainly relate to turnaround costs, site projects and other support facilities.
- (ii) During the year ended 31 December 2025, the Company write-off fully depreciated turnaround costs incurred on several plants since 2011. The turnaround costs represent major inspection, maintenance, overhaul, and related activities. These are recorded as a separate component with a useful life generally equal to the time period up to the next scheduled turnaround.
- (iii) This mainly relates to the write-off of projects previously classified as assets under construction that were determined to be no longer economically feasible to complete.
- (iv) This mainly includes one of the two trains in the operating units of the Bisphenol Plant which was damaged on 13 September 2023, by a limited fire which was fully controlled, without any human injuries or impact on the other operating units. The Company's plants and facilities are subject to comprehensive insurance coverage and an insurance claim was filed by the Company. Based on discussions with the insurers, management assessed a total loss arising from the fire at SR 188.4 million related to damaged assets and SR 171.7 million related to business interruption. Based on the insurance claim approved by the insurer, an amount of SR 107.4 million (2024: SR 252.7 million) was recognised as other operating income (Note 27). The insurance claim receivable was fully settled by the insurer during the year ended 31 December 2025.
- (v) During the year ended 31 December 2024, a technical assessment was conducted by the Company to review the Company's assets which resulted in a provision of SR 23.9 million booked related to assets without any future benefits.

Impairment indicators and assessment

As explained in Note 1 to the financial statements, the Company has experienced a decrease in the actual prices of its products from 2022 onwards, resulting in a loss before zakat and negative operating cash flows for the year ended 31 December 2025 of SR 2,286 million (2024: SR 1,807 million) and SR 302 million respectively, which was substantially different from the budgeted outturn for the year. Moreover, the market capitalization of the Company as at 31 December 2025 remained below the book value of the Company's equity as at that date. Accordingly, the management performed a detailed impairment assessment for its non-current assets that exhibited impairment indicators and determined the recoverable amount based on the value-in-use calculation using the approved business plan. As a result of such assessment, as at 31 December 2025, the recoverable amount of the non-current assets was assessed to be higher than the carrying amount.

In determining the recoverable amount of the CGU, management estimated the value-in-use of the CGU based on the latest available five-year business plan as approved by the Company's Board of Directors which reflect management's view of the external market conditions and certain key internal variables including the estimation of appropriate growth and discount rates. Management updates business plans on an annual basis. Accordingly, the five-year business plan for 2026 - 2030, which was reviewed and approved by the Company's Board of Directors in Q4 2025, was used as the basis for the impairment testing.

The methodology used by management for the impairment assessment is the discounted cash flow analysis. Key assumptions used in this calculation include a pre-tax discount rate of 9.00% (2024: 9.25%) per annum, growth rate assumption of 2.50% (2024: 2.50%) for the calculation of the terminal value, a compounded annual sales growth rate of 5.28% (2024: 5.00%) and a EBITDA margin of 20.37% (2024: 27.0%).

Management has performed a sensitivity analysis around the key assumptions used in the value-in-use calculation and believes that the recoverable amount of non-current assets would equal to their carrying amount if the following individual key assumptions were to change as follows:

	31 December 2025		31 December 2024	
	From	To	From	To
Discount rate	9.00%	10.7%	9.25%	13.39%
Sales growth rate	5.28%	4.6%	5.00%	3.47%
EBITDA margin	20.37%	17.3%	27.0%	18.9%
Terminal growth rate	2.50%	0.2%	2.50%	N/A*

*Terminal growth rate was not sensitive in the prior year.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

7. Property, plant and equipment (continued)

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated.

8. Right-of-use assets

The Company leases land parcels, tanks, housing for employees, vehicles and pipelines for expected lease terms ranging from 2 to 99 years, based on original lease term and extension options available under the lease contracts. Lease payments are agreed at the time of inception of the lease which may change based on mutual consent of both the parties. The land on which plant and related facilities are constructed are leased from the Royal Commission for Jubail and Yanbu under renewable lease agreements for a period up to 99 years.

	Lands	Tanks	Housing	Vehicles	Pipelines	Total
For the year ended 31 December 2025						
<u>Cost:</u>						
At the beginning of the year	141,987	105,423	99,883	-	14,329	361,622
Additions	-	-	3,348	-	-	3,348
Retirements (i)	-	-	(32,700)	-	-	(32,700)
Re-measurement	-	-	(2,375)	-	-	(2,375)
At the end of the year	141,987	105,423	68,156	-	14,329	329,895
<u>Accumulated depreciation:</u>						
At the beginning of the year	25,174	59,390	48,800	-	12,177	145,541
Charge for the year	6,283	9,690	20,722	-	716	37,411
Retirements (i)	-	-	(25,722)	-	-	(25,722)
At the end of the year	31,457	69,080	43,800	-	12,893	157,230
<u>Net book value:</u>						
As at 31 December 2025	110,530	36,343	24,356	-	1,436	172,665
For the year ended 31 December 2024						
<u>Cost:</u>						
At the beginning of the year	172,632	105,423	107,928	24,784	14,329	425,096
Additions	-	-	4,038	-	-	4,038
Derecognition	-	-	(12,083)	(24,784)	-	(36,867)
Re-measurement (ii)	(30,645)	-	-	-	-	(30,645)
At the end of the year	141,987	105,423	99,883	-	14,329	361,622
<u>Accumulated depreciation:</u>						
At the beginning of the year	18,873	49,674	39,002	24,784	11,461	143,794
Charge for the year	6,301	9,716	21,472	-	716	38,205
Derecognition	-	-	(11,674)	(24,784)	-	(36,458)
At the end of the year	25,174	59,390	48,800	-	12,177	145,541
<u>Net book value:</u>						
As at 31 December 2024	116,813	46,033	51,083	-	2,152	216,081

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

8. Right-of-use assets (continued)

- (i) During the year ended 31 December 2025, certain house rental contracts were terminated resulting in derecognition of the related assets and liabilities.
- (ii) During the year ended 31 December 2024, certain estimates in the assessment of land lease contracts with the Royal Commission were reassessed to conform with the useful life of the related pipelines which resulted in a reduction of right-of-use assets and lease liabilities amounting to SR 30.6 million.

Depreciation charge for 2025 of SR 24.2 million (2024: SR 27.3 million), SR 10.7 million (2024: SR 10.7 million) and SR 2.5 million (2024: SR 0.12 million) has been allocated to cost of sales, selling and distribution expenses and general and administrative expenses, respectively.

9. Intangible assets

	Licenses	Software and IT development	Intangibles under development	Total
For the year ended 31 December 2025				
<i>Cost:</i>				
At the beginning of the year	376,038	63,864	-	439,902
Transfer from PPE (Note 7)	-	1,119	-	1,119
At the end of the year	376,038	64,983	-	441,021
<i>Accumulated amortisation:</i>				
At the beginning of the year	222,456	49,526	-	271,982
Charge for the year	17,776	4,314	-	22,090
At the end of the year	240,232	53,840	-	294,072
<i>Net book amount:</i>				
As at 31 December 2025	135,806	11,143	-	146,949
For the year ended 31 December 2024				
<i>Cost:</i>				
At the beginning of the year	375,938	55,538	6,006	437,482
Additions	100	2,320	-	2,420
Transfer to other non-current assets	-	6,006	(6,006)	-
At the end of the year	376,038	63,864	-	439,902
<i>Accumulated amortisation:</i>				
At the beginning of the year	204,428	42,896	-	247,324
Charge for the year	17,978	6,680	-	24,658
At the end of the year	222,406	49,576	-	271,982
<i>Net book amount:</i>				
As at 31 December 2024	153,632	14,288	-	167,920

Amortisation charge for the year ended 31 December 2025 of SR 17.8 million (2024: SR 18.0 million) and SR 4.2 million (2024: SR 6.7 million) has been allocated to cost of sales and general and administrative expenses, respectively.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

10. Other assets and receivables

	31 December 2025	31 December 2024
Non-current:		
Employee loans and other advances (i)	83,368	55,948
Inter-company advances (Note 29)	24,759	16,020
Home ownership program site development costs	1,931	3,256
	<u>110,058</u>	<u>75,224</u>
Current:		
Advances and other receivable due from related parties (Note 29)	169,413	186,439
Value added tax (VAT) receivable, net	162,907	128,549
Employee loans and advances	5,909	10,936
Insurance claims receivable	-	74,555
Others	6,557	12,301
	<u>344,786</u>	<u>412,780</u>

- (i) Employee advances represent receivables from employees related to Housing Ownership Program ("HOP") and other benefits.

11. Financial assets and financial liabilities

	31 December 2025	31 December 2024
<i>Financial assets at fair value through profit or loss</i>		
Trade receivables	2,031,814	2,281,387
<i>Financial assets at amortised cost</i>		
Trade receivables	18,715	35,737
Cash and cash equivalents	171,036	296,353
Other financial assets	95,834	67,073
	<u>2,317,399</u>	<u>2,680,550</u>
	31 December 2025	31 December 2024
<i>Financial liabilities at amortized cost</i>		
Debt	8,940,097	8,143,167
Lease liabilities	200,653	236,013
Trade payables	2,346,317	3,061,346
Other financial liabilities	1,057,367	1,039,659
	<u>12,544,434</u>	<u>12,480,185</u>

- (i) The Company has assessed the fair value of cash and cash equivalents, lease liabilities, trade payables and other financial assets and liabilities to approximate their carrying amounts largely due to the short-term maturities of these instruments or because the balances carry markup at market rates.
- (ii) Other financial assets include other receivables, employee housing loans and interest receivables, net of expected credit losses, where applicable. Other financial liabilities include payables related to utilities, feedstock, employees and other payables.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

12. Inventories

	31 December 2025	31 December 2024
Spare parts	680,459	652,149
Less: provision for slow moving, obsolete and dormant spare parts	(223,699)	(195,376)
	456,760	456,773
Raw materials	123,801	105,371
Goods in transit	88,993	99,283
Finished goods, net	701,255	701,332
	1,370,809	1,362,759

During the year ended 31 December 2025, net realisable value (NRV) loss amounting to SR 70.0 million (2024: SR 10.3 million) recognised in cost of sales. Refer Note 25.1.

The movement in the provision for slow moving, obsolete and dormant spare parts inventory is as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
At the beginning of the year	195,376	197,219
Charge / (reversal) for the year	28,323	(1,843)
At the end of the year	223,699	195,376

The effect on loss before zakat for the year would have been SR 17.3 million (2024: SR 10.3 million) due to change in underlying estimates relating to NRV loss by 10.0% with all other variables held constant.

13. Trade receivables

	31 December 2025	31 December 2024
Trade receivables - due from related parties (Note 29)	2,050,529	2,314,027
Trade receivables - due from third parties	5,551	8,648
	2,056,080	2,322,675
Less: allowance for expected credit losses	(5,551)	(5,551)
	2,050,529	2,317,124

The credit term is 90 to 105 days and other terms and conditions for related party transactions and balances are disclosed under Note 33 of these financial statements. Trade receivables relating to contracts with provisional pricing arrangements are measured at fair value. These trade receivables are classified as level 3 in the fair value hierarchy due to the inclusion of unobservable inputs including specific terms of the contract. For trade receivables carried at amortised cost, the carrying amount as at 31 December 2025 and 31 December 2024 approximates their fair value due to their short-term nature.

Movement in the allowance for expected credit losses is as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
At the beginning of the year	5,551	5,551
At the end of the year	5,551	5,551

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

13. Trade receivables (continued)

The aging analysis of trade receivables is as follows:

	Total	Neither past due nor impaired	Less than 30 days	31-60 days	61-90 days	More than 90 days
31 December 2025	2,050,529	2,048,155	-	29	102	2,243
31 December 2024	2,314,027	2,305,294	-	2,600	-	6,133

The aging analysis of trade receivable with third parties is as follows:

	Total	Neither past due nor impaired	Less than 30 days	31-60 days	61-90 days	More than 90 days
31 December 2025						
Expected credit loss rate						100%
Gross carrying amount	5,551	-	-	-	-	5,551
Expected credit loss	5,551	-	-	-	-	5,551
31 December 2024						
Expected credit loss rate						71%
Gross carrying amount	8,648	843	-	-	-	7,805
Expected credit loss	5,551	-	-	-	-	5,551

Trade receivables are non-interest bearing and the Company's credit period is 90 - 105 days after which trade receivables are considered to be past due. Unimpaired trade receivables are unsecured and are expected, on the basis of past experience, to be fully recoverable.

14. Cash and cash equivalents

	31 December 2025	31 December 2024
Current accounts	114,780	48,543
Current murabaha (including fixed time deposits)	56,256	247,810
Cash and cash equivalents	171,036	296,353

Term deposits are made for varying periods of between one day and three months, depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates. These placements yield finance income at commission rates ranging from 3.50% to 5.71% (2024: 3.46% to 5.93%)

At 31 December 2025, the Company has funds pertaining to employee's savings plan amounting to SR 70.1 million (2024: SR 61.6 million) (Note 20) that are held in separate bank accounts and are not used as part of normal business operations.

The table below provides details of amounts of cash and cash equivalents placed in various currencies:

	31 December 2025	31 December 2024
USD	57,469	199,026
SR	113,567	97,327
	171,036	296,353

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

15. Share capital

The authorised, issued and paid-up share capital is SR 15,000 million, which is divided into 1,500 million shares (2024: 1,500 million shares) of SR 10 each.

16. Statutory reserve

According to the newly enacted Companies Law and its implementing regulations effective in KSA starting 26 Jumada' II 1444H (corresponding to 19 January 2023), the mandatory statutory reserve requirement was abolished. In pursuant to this change, during the year, the General Assembly of the Company in its extraordinary meeting held on 25 Ramadan 1446H (corresponding to 25 March 2025) resolved to amend the Company's By-laws to exclude the requirement to maintain a statutory reserve and to transfer the existing balance to retained earnings. Accordingly, the statutory reserve balance amounting to SR 288.5 million was transferred to retained earnings during the year.

17. Other components of equity

Other components of equity of SR 620.9 million represent contribution of a surplus for the fair value differential in respect of subordinated loans provided from a shareholder in prior years and fully settled in 2019.

18. Debt

	Effective Interest rate (%)	Maturity	31 December 2025	31 December 2024
Long term debt				
	SAIBOR + 0.85			
Murabaha long term loans – bilateral	& SOFR+1.3	2023 to 2027	-	6,060,303
Murabaha long term loans – syndicate	SAIBOR + 1	2025 - 2034	7,925,791	-
	SAIBOR + 0.40			
Short-term debt (RCF)	& SOFR+ 0.55		998,345	2,077,663
Finance cost payable			15,961	5,201
Total			8,940,097	8,143,167
Total non-current			7,763,791	4,785,303
Total current			1,176,306	3,357,864

Movement in debt is as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
At the beginning of the year	8,143,167	9,890,878
Additions	7,993,150	-
Finance cost on debt	565,800	638,202
Repayments of principal portion during the year	(7,236,448)	(1,743,886)
Finance cost paid during the year	(555,039)	(652,838)
Amortisation of transaction cost	29,467	10,811
At the end of the year	8,940,097	8,143,167

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

18. Debt (continued)

Murabaha long term loans (Long-term debt)

During the year, the Company obtained long term murabaha financing from a syndicate of banks which includes Saudi National Bank (acting as the investment agent), Bank Saudi Fransi and Alinma Bank. The total facility amounted to SR 8,100 million before taking into account the upfront transaction fee of SR 106.9 million. Repayment of the facility is due through unequal instalments over the next ten years ending in December 2034. The financial charges associated with the new facility is SAIBOR plus an agreed margin and the principal repayments started on 31 December 2025 as per the loan repayment schedule.

The syndicate loan was partially utilised to retire fully the bilateral murabaha long term loans and a portion of the RCF, while the remaining amount is utilised by the Company for its working capital requirements. The proceeds from this syndicate loan were received net of the settlement of the existing abovementioned loans.

The Company assessed that the new loan is obtained on substantially different terms from the legacy loans considering relevant qualitative factors. Based on this assessment, the legacy loans were extinguished and derecognised from these financial statements, and the unamortised upfront transaction fee thereon amounting to SR 13.0 million was recognised in the profit or loss during the year. Consequently, a new financial liability net of upfront transaction fee was recognised in lieu of the proceeds received under the new murabaha agreement.

The facility requires the Company to maintain certain non-financial covenants including cross default clause on any financial indebtedness (except where such financial indebtedness is subordinate to the claims of the Murabaha facility or principal thereof is below a predefined amount) and is secured by pledge over certain bank accounts. Further, as at 31 December 2025, the Company was in compliance with such covenants.

RCF (Short-term debt)

During 2022, the Company entered into a multi-currency Murabaha (RCF) agreement with a local commercial bank amounting to USD 800.0 million (SR 3,000 million) to finance working capital requirements. During the year, the Company has renegotiated the terms of the RCF and reduced the total limit of the facility to USD 266.7 million (SR 1,000 million). The RCF bears financial charges based on SIBOR / SOFR plus an agreed margin. Each transaction have an extension option up to a maximum tenor of 12 months. The RCF maturity date is 16 November 2027. As at 31 December 2025, the facility is fully utilised by SR 998 million (2024: SR 2,078 million).

19. Lease liabilities

The Company has leases approximately amounting to SR 25.0 million (2024: 28.0 SR million) with contract terms of less than 12 months. These leases are short term or leases of low-value items. The Company has elected not to recognise right-of-use assets and lease liabilities for these leases.

	<u>31 December 2025</u>	<u>31 December 2024</u>
Non-current	181,789	200,612
Current	18,864	35,401
	<u>200,653</u>	<u>236,013</u>

These leases are discounted using interest rates ranging from 4.50% to 7.33% based on the terms in the agreement.

Movement in lease liabilities is as follows:

	<u>For the year ended 31 December 2025</u>	<u>For the year ended 31 December 2024</u>
At the beginning of the year	236,013	279,495
Additions to lease liabilities	3,348	4,038
Re-measurement (Note 8)	(2,375)	(30,645)
Payment of lease liabilities	(39,764)	(29,251)
Retirement of lease liabilities (Note 8)	(6,978)	-
Derecognition of lease liabilities	-	(492)
Finance cost	10,409	12,868
At the end of the year	<u>200,653</u>	<u>236,013</u>

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

19. Lease liabilities (continued)

Amount recognised in profit or loss.

	For the year ended 31 December 2025	For the year ended 31 December 2024
Finance cost on lease liabilities	10,409	12,868
Depreciation of right-of-use assets	37,411	38,205
Expenses relating to short-term or low value leases	25,000	28,000
	<u>72,820</u>	<u>79,073</u>

	31 December 2025		
	Third party	Related party	Total
Less than 1 year	36,942	1,438	38,380
Later than one year upto five years	100,806	1,438	102,244
More than five years	331,924	-	331,924
	<u>469,672</u>	<u>2,876</u>	<u>472,548</u>
Total minimum lease payments	469,672	2,876	472,548
Less amounts representing finance charges	(271,669)	(226)	(271,895)
Present value of minimum lease payments	<u>198,003</u>	<u>2,650</u>	<u>200,653</u>

	31 December 2024		
	Third party	Related party	Total
Less than 1 year	39,349	1,438	40,787
Later than one year upto five years	112,580	2,877	115,457
More than five years	351,884	-	351,884
	<u>503,813</u>	<u>4,315</u>	<u>508,128</u>
Total minimum lease payments	503,813	4,315	508,128
Less amounts representing finance charges	(271,674)	(441)	(272,115)
Present value of minimum lease payments	<u>232,139</u>	<u>3,874</u>	<u>236,013</u>

The maturity of the lease obligation and debt are further elaborated in liquidity risk (Note 33). If the incremental borrowing rate increased / decreased by 10% with all other variables held constant, the impact on loss before zakat for the year would have been SR 17.6 million (2024: SR 21.8 million) lower / higher.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

20. Employee benefits

	31 December 2025	31 December 2024
Defined employee benefits obligation – non-current liability	859,705	767,294
Other employee benefits – current liability (Note 20.1)	131,336	114,283
	<u>991,041</u>	<u>881,577</u>

In accordance with the provisions of IAS 19, management has carried out an exercise to assess the present value of its defined benefit obligations at 31 December 2025 and 31 December 2024 in respect of employee end-of-service benefits payable under relevant local regulations and contractual arrangements.

The Company's management monitors the risk of all defined benefit plans of the Company and issues guidelines regarding the governance and risk management.

The main actuarial assumptions used to calculate the defined unfunded benefit obligation are as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
Discount rate	5.50%	5.60%
Expected rate of salary increase		
Executive	4.50%	4.50%
Non-Executive	6.00%	6.00%

The following table represents the components of the defined benefits liability as at 31 December:

	End of Service Benefit Plan	Continuous Service Awards	Post-retirement medical benefits	Total
For the year ended 31 December 2025				
At the beginning of the year	680,067	5,606	81,621	767,294
Charge recognised in profit or loss:				
- Current service cost	54,653	1,402	7,162	63,217
- Past service cost	-	10,455	2,876	13,331
- Gain on settlements	(3,720)	(327)	-	(4,047)
- Finance cost (Note 26)	37,565	879	4,532	42,976
Actuarial changes arising due to:				
- demographic assumptions	-	-	(32)	(32)
- financial assumptions	9,657	145	1,078	10,880
- experience adjustments	11,611	52	6,605	18,268
	<u>21,268</u>	<u>197</u>	<u>7,651</u>	<u>29,116</u>
Payments during the year				
- benefit payments	(21,035)	(640)	(2,552)	(24,227)
- settlements	(27,159)	-	-	(27,159)
Transfers during the year	(504)	91	(383)	(796)
At the end of the year	<u>741,135</u>	<u>17,663</u>	<u>100,907</u>	<u>859,705</u>

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

20. Employee benefits (continued)

	End of Service Benefit Plan	Continuous Service Awards	Post-retirement medical benefits	Total
For the year ended 31 December 2024				
At the beginning of the year	656,569	5,240	63,998	725,807
Charge recognised in profit or loss:				
- Current service cost	55,605	622	(5,841)	50,386
- Finance cost (Note 26)	32,976	265	2,929	36,170
Actuarial changes arising due to:				
- demographic assumptions	-	-	9	9
- financial assumptions	(50,790)	(208)	20,921	(30,077)
- experience adjustments	4,041	(16)	3,555	7,580
	(46,749)	(224)	24,485	(22,488)
Payments during the year	(15,728)	(268)	(2,645)	(18,641)
Transfers during the year	(2,606)	(29)	(1,305)	(3,940)
At the end of the year	680,067	5,606	81,621	767,294

Sensitivity analysis

The table below illustrates the approximate impact on the defined benefit liability if the Company were to change one key assumption, while the other actuarial assumptions remain unchanged. The sensitivity analysis is intended to illustrate the inherent uncertainty in the valuation of the defined benefit liability under market conditions at the measurement date. Its results cannot be extrapolated due to non-linear effects that changes in key actuarial assumptions may have on the total defined benefit liability. The sensitivities only apply to the defined benefits liability and not to the amounts recognised in the statement of financial position.

The balances based on sensitivity analysis would be:

	31 December 2025		
	End of Service Benefit Plan	Continuous Service Awards	Post-retirement medical benefits
<i>Increase</i>			
Discount rate (+25 bps)	717,318	17,690	96,941
Salary (+25 bps)	765,892	-	-
Health care cost (+25 bps)	-	-	105,266
<i>Decrease</i>			
Discount rate (-25 bps)	766,064	18,418	105,113
Salary (-25 bps)	717,365	-	-
Health care cost (-25 bps)	-	-	96,779
<i>Weighted average duration (in years)</i>			
Discount rate (+25 bps)	13.07	7.99	16.04
Discount rate (-25 bps)	13.23	8.14	16.33

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

20. Employee benefits (continued)

Sensitivity analysis (continued)

	31 December 2024		
	End of Service Benefit Plan	Continuous Service Awards	Post-retirement medical benefits
<i>Increase</i>			
Discount rate (+25 bps)	658,416	5,516	77,966
Salary (+25 bps)	702,591	-	-
Health care cost (+25 bps)	-	-	85,610
<i>Decrease</i>			
Discount rate (-25 bps)	702,724	5,699	85,496
Salary (-25 bps)	658,438	-	-
Health care cost (-25 bps)	-	-	77,844
<i>Weighted average duration (in years)</i>			
Discount rate (+25 bps)	12.94	6.46	18.33
Discount rate (-25 bps)	13.11	6.58	18.55

Expected total benefits payments.

	End of Service Benefit Plan	Continuous Service Awards	Post-retirement medical benefits	Total
For the year ended 31 December 2025				
Year 1	15,785	597	5,369	21,751
Year 2	16,840	2,947	5,024	24,811
Year 3	26,263	1,483	5,393	33,139
Year 4	24,798	896	5,191	30,885
Year 5	31,571	867	1,542	33,980
After 5 years	939,949	25,871	60,082	1,025,902
Total	1,055,206	32,661	82,601	1,170,468
For the year ended 31 December 2024				
Year 1	16,563	358	1,387	18,308
Year 2	16,832	316	1,316	18,464
Year 3	22,559	1,540	566	24,665
Year 4	27,970	655	609	29,234
Year 5	29,005	481	787	30,273
After 5 years	869,190	7,439	62,427	939,056
Total	982,119	10,789	67,092	1,060,000

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

20. Employee benefits (continued)

20.1 Employee savings plan

	31 December 2025	31 December 2024
At the beginning of the year	114,283	97,928
Contribution for the year	35,180	31,786
Withdrawals during the year	(18,127)	(15,431)
At the end of the year	131,336	114,283

21. Trade payables

	31 December 2025	31 December 2024
Trade payables due to related parties (Note 29)	2,295,130	3,059,993
Trade payables due to third parties	51,187	1,353
	2,346,317	3,061,346

22. Accruals and other current liabilities

	31 December 2025	31 December 2024
Accrued expenses – related parties (Note 29)	811,401	851,796
Accrued expenses – third parties	119,492	39,606
Employees' payable	41,431	57,618
Royalties payable	959	975
Project accruals	40,381	68,646
Others	43,703	21,018
	1,057,367	1,039,659

23. Zakat

Zakat return of Saudi Kayan is submitted to the ZATCA based on separate financial statements prepared for zakat purposes only. SABUCO files its zakat return separately.

The zakat charge consists of the following:

	For the year ended 31 December 2025	For the year ended 31 December 2024
Charge for the year	418	4,699
Adjustments related to prior years	7,718	(8,103)
	8,136	(3,404)

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

23. Zakat (continued)

The movement in zakat payable is as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
At the beginning of the year	4,681	35,471
Charge for the year	418	4,699
Adjustment	7,718	(8,103)
Payments during the year	(3,315)	(27,386)
At the end of the year	9,502	4,681

The Company has filed its zakat returns with ZATCA, received the zakat certificates, settled the zakat dues up to the year ended 31 December 2024. As at 31 December 2025, the Company cleared its zakat assessments with ZATCA for all years up to 31 December 2022. Zakat returns for 2023 and 2024 were still under ZATCA's review as at 31 December 2025.

During the year ended 31 December 2025, ZATCA has issued an assessment of SR 7.7 million to the Company relating to the year 2023 against which provision for whole amount is recognised during the year. The said assessment was cleared after the payment of the assessed amount subsequent to the year end.

24. Revenue

	For the year ended 31 December 2025	For the year ended 31 December 2024
Sales of goods	8,494,160	8,288,997
Movement between provisional and final price	(35,314)	437,029
	8,458,846	8,726,026

The Company generates revenue primarily from the sale of petrochemical products. All of the product sales are made to SABIC (the parent company) which is based in the Kingdom of Saudi Arabia and is recognised at a point in time. Accordingly, disaggregation of revenue from contracts with customers is not applicable by primary geographical market, major products and service lines and timing of revenue recognition.

Contract balances.

Information about trade receivables is provided in Note 13 to these financial statements. There were no material returns, refunds, or advances and, therefore, no contract balances for the year ended 31 December 2025 and 31 December 2024.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

25. Expenses

Based on the nature of expense, cost of sales, selling and distribution expenses and general and administrative expenses are broken down as follows:

25.1 Cost of sales

	For the year ended 31 December 2025	For the year ended 31 December 2024
Raw materials and consumables (i)	5,152,203	5,303,679
Depreciation of property, plant and equipment (Note 7)	2,310,040	2,379,978
Provision for write-off of idle assets (Note 7)	-	23,876
Employees' costs	659,676	591,852
Utilities	733,453	577,065
Depreciation of right of use assets (Note 8)	24,194	27,335
Amortisation of intangible assets (Note 9)	17,822	18,001
Provision / (reversal) for slow moving and obsolete inventories (Note 12)	28,323	(1,843)
Shared services charges (Note 29)	48,191	51,083
Others	378,808	397,464
	<u>9,352,710</u>	<u>9,368,490</u>

(i) This includes NRV loss amounting to SR 70.0 million (2024: SR 10.3 million) recognised for inventories carried at NRV. Refer Note 12.

25.2 General and administrative expenses

	For the year ended 31 December 2025	For the year ended 31 December 2024
Research and technology (Note 29)	162,797	174,566
Employees' costs	136,152	121,770
Shared services charges (Note 29)	103,352	95,726
Amortisation of intangible assets (Note 9)	4,268	6,657
Maintenance and manpower supply	50,323	48,905
Depreciation of property, plant and equipment (Note 7)	7,667	7,713
Depreciation of right of use assets (Note 8)	2,499	122
Board members allowances	8,219	2,541
Others	45,143	19,157
	<u>520,420</u>	<u>477,157</u>

25.3 Selling and distribution expenses

	For the year ended 31 December 2025	For the year ended 31 December 2024
Freight and storage	269,558	244,166
Depreciation of right of use assets (Note 8)	10,718	10,748
Other	136	-
	<u>280,412</u>	<u>254,914</u>

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

26. Finance income and cost

Finance income can be broken down as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
Murabaha (including fixed term deposits)	6,953	27,152
Others	-	120
	<u>6,953</u>	<u>27,272</u>

Finance cost can be broken down as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
Finance cost on debt	565,800	638,202
Amortisation of transaction cost	29,467	12,099
Lease finance cost	10,409	12,868
Finance cost related to defined benefit plans (Note 20)	42,976	36,170
Bank charges	936	1,323
	<u>649,588</u>	<u>700,662</u>

Conventional and non-conventional break-up of finance income and finance cost is as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
Finance income		
- Current Murabaha (including fixed term deposits)	6,953	27,152
- Conventional call account	-	120
Total finance income	<u>6,953</u>	<u>27,272</u>
Finance cost		
- Realised exchange (gain) / loss - net	(639)	250
- Lease liabilities	10,409	12,868
- Net finance cost on employee benefits	42,975	36,170
- Others	936	1,323
Total conventional finance cost	<u>53,681</u>	<u>50,611</u>
- SIDF	-	3,414
- Murabaha	532,548	504,359
- Ijarah facilities and others	63,359	142,278
Total non-conventional finance cost	<u>595,907</u>	<u>650,051</u>
Total finance cost	<u>649,588</u>	<u>700,662</u>
Conventional financial results	<u>(53,681)</u>	<u>(50,491)</u>
Non-conventional financial results	<u>(588,954)</u>	<u>(622,899)</u>
Financial result	<u>(642,635)</u>	<u>(673,390)</u>

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

27. Other operating income and expenses

Other operating income can be broken down as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
Gain from termination of lease contracts	-	83
Proceeds from sale of scrap	740	2,253
Rental income	-	5,622
Insurance claims (Note 7) (i)	107,380	252,686
Others	3,878	4,114
	<u>111,998</u>	<u>264,758</u>

Other operating expenses can be broken down as follows:

	For the year ended 31 December 2025	For the year ended 31 December 2024
Write-off of property, plant and equipment	18,530	21,925
Foreign currency exchange losses, net	8,034	-
Workforce optimisation (ii)	32,635	-
Others	1,215	2,029
	<u>60,414</u>	<u>23,954</u>
	<u>51,584</u>	<u>240,804</u>

- (i) This amount pertains to an insurance recovery in relation to the fire incident at the Bisphenol Plant that occurred in 2023. Refer Note 7.
- (ii) During the year ended 31 December 2025, the Company offered a severance package to some of its employees as a result of a strategic workforce optimisation initiative which resulted in recognition of expense amounting to SR 32.6 million.

28. Loss per share

Basic loss per share amounts are calculated by dividing net loss for the year attributable to ordinary equity holders of the Company by the weighted average number of ordinary shares during the period.

The following reflects the income and share data used in the basic and diluted earnings per share computations:

	For the year ended 31 December 2025	For the year ended 31 December 2024
Net loss attributable to equity holders	(2,293,883)	(1,803,717)
Number of shares outstanding (in thousands)	<u>1,500,000</u>	<u>1,500,000</u>
Loss per share (SR)	<u>(1.53)</u>	<u>(1.20)</u>

There has been no item of dilution affecting the weighted average number of ordinary shares.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

29. Related party transactions and balances

The immediate controlling party of the Company is SABIC. Saudi Arabian Oil Company ("Saudi Aramco") owns 70% of SABIC through one of its subsidiaries, "Aramco Chemicals Company". The Saudi Arabian Government is the largest shareholder of Saudi Aramco by 81.484% (2024: 81.484%) direct shareholding. Related parties comprise the shareholders, directors, associated companies (representing entities directly or indirectly controlled by or under the significant influence of the Company's shareholders or ultimate controlling party) and key management personnel of the Company.

Following is the list of the major related parties of the Company:

Name of related party	Nature of relationship
Saudi Arabian Oil Company ("Saudi Aramco")	Ultimate parent company
Saudi Basic Industries Corporation ("SABIC")	Parent company
SABIC affiliates	Associated companies
Power and Water Utility Company for Jubail and Yanbu ("Marafiq")	Associate of ultimate parent company
SABUCO	Joint operation

The following table provides the total amount of significant transactions that have been entered into with related parties during the years ended 31 December 2025 and 31 December 2024:

	Nature of Transaction	For the year ended 31 December 2025	For the year ended 31 December 2024
SABIC	Sales	8,123,371	8,380,111
	Marketing fee	333,984	345,536
	Purchases and other services	777,252	1,083,401
	Shared services charges	151,543	146,809
	Research and technology	162,797	174,566
	Purchase of insurance policies through the Parent company	35,380	36,423
Saudi Aramco	Purchases and other services	3,870,868	3,897,291
Marafiq	Purchases and other services	62,087	70,049
SABIC affiliates	Sales	1,491	379
	Purchase of inventory, capital goods and services	109,633	74,119
	Supply chain services	150,604	174,566
Entities controlled by the Saudi government	Purchases of goods and services	380,934	257,344
	Finance costs on loans	560,274	538,466
	Finance cost of lease liability	7,073	7,339

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

29. Related party transactions and balances (continued)

The following table provides the related party balances as at 31 December 2025 and 31 December 2024:

Trade receivables (due from related parties)

	<u>31 December 2025</u>	<u>31 December 2024</u>
SABIC	2,031,814	2,305,011
SABIC affiliates and others	18,715	9,016
	<u>2,050,529</u>	<u>2,314,027</u>

Other assets and receivables (due from related parties)

	<u>31 December 2025</u>	<u>31 December 2024</u>
SABIC	173,156	179,579
SABIC affiliates and others	21,016	22,880
	<u>194,172</u>	<u>202,459</u>

Trade payables (due to related parties)

	<u>31 December 2025</u>	<u>31 December 2024</u>
SABIC	1,732,165	2,690,090
Saudi Aramco	346,052	331,020
SABIC affiliates and others	179,437	38,883
Entities controlled by the Saudi government	37,476	-
	<u>2,295,130</u>	<u>3,059,993</u>

Accruals and other current liabilities (due to related parties)

	<u>31 December 2025</u>	<u>31 December 2024</u>
SABIC	355,185	356,268
Saudi Aramco	321,037	385,224
Marafiq	3,944	4,920
SABIC affiliates and others	100,158	61,364
Entities controlled by the Saudi government	31,077	44,020
	<u>811,401</u>	<u>851,796</u>

Loans, leases and cash and cash equivalents with entities controlled by Saudi government

	<u>31 December 2025</u>	<u>31 December 2024</u>
Debts	6,542,345	6,643,599
Leases liabilities	114,035	118,376
Cash and cash equivalents held with banks	11,422	-
	<u>6,667,802</u>	<u>6,761,975</u>

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

29. Related party transactions and balances (continued)

Terms and conditions of transactions with related parties

The sales to and purchases from related parties are made at terms mutually agreed between the management and the related parties. Outstanding balances as at 31 December 2025 and 31 December 2024 are unsecured, interest free and payable in cash. For the years ended 31 December 2025 and 31 December 2024, the Company has not recorded any impairment of receivables relating to amounts owed by related parties. This assessment is undertaken by examining the financial position of the related party and the market in which the related party operates.

Significant transactions with related parties are described as follows:

- The Company has a service level agreement with SABIC (Shared Services Organization – SSO) for the provision of accounting, warehousing, human resources, information technology (ERP/SAP), transporting and arranging for delivery of materials related to the Company's spare parts, engineering, procurement and related services and other general services to the Company. The Company also has a logistic service agreement with SABIC.
- Advances to SABIC represent the amount paid by the Company according to shared service agreement to finance the purchase of the materials and services from SABIC and its affiliates.
- The Company's annual contribution to SABIC for research and technology is computed as 2% of total sales, which is charged to general and administrative expenses in profit or loss.
- All of Company's products are sold to SABIC ("the Marketer") under a marketing and off-take agreement. Upon delivery of the product, sales are recorded at net provisional price which are subsequently adjusted to actual selling prices received by SABIC from its customers after deducting shipping, distribution and selling cost, and 4% of marketing fee to cover all other marketing expenses.
- The Company has a gas allocation agreement, for which the Company can purchase a pre-set amount of gas from Saudi Aramco on a yearly basis.
- The Company has issued a guarantee amounting to SR 4.15 million (2024: SR 4.15 million) in favour of Saudi Aramco.
- The government transactions are presenting mainly Royal Commission for Jubail and Yanbu, Saudi Electricity Company and Saudi National Bank.

Prices and terms of payments for the above transactions are approved by the Company's Board.

Key management compensation

The Company provides certain remunerations and compensation to key management personnel. Remuneration for the years ended 31 December 2025 and 2024 of key management personnel is detailed as follows:

	<u>31 December 2025</u>	<u>31 December 2024</u>
Short-term employee benefits	12,156	8,881
Defined employee benefits obligation	3,725	4,402
	<u>15,881</u>	<u>13,283</u>

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

30. Fair value measurement

The Company's principal financial assets include cash and cash equivalents, trade receivables and certain other receivables that arise directly from its operations. The Company's principal financial liabilities comprise debt, lease liabilities, trade payables, due to related parties and other payables.

Fair values hierarchy

All financial instruments for which fair value is recognized or disclosed are categorized within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement as a whole, as follows:

Level 1: Quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.

Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

There were no changes in the Company's valuation processes, valuation techniques, and types of inputs used in the fair value measurements during the year.

As at the reporting date all financial assets and financial liabilities are measured at amortized cost except trade receivables which are carried at FVTPL. The carrying value of the financial assets and financial liabilities of the Company approximate their fair value.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data is available to measure fair value. The fair value is determined using prevailing market rates at the reporting date. The following table presents the Company's assets and liabilities measured and recognized at fair value at 31 December 2025 and 31 December 2024, based on the prescribed fair value measurement hierarchy on a recurring basis. The Company did not measure any financial assets or financial liabilities at fair value on a non-recurring basis at 31 December 2025 and 31 December 2024.

The valuation technique of trade receivables carried at FVTPL is based on marked-to-market observable inputs of the underlying commodities. The fair value of receivables is directly related to commodity prices and if the underlying prices as at 31 December 2025 increased / decreased by 5% with all other variables held constant, the loss before zakat for the year and trade receivables as at 31 December 2025, would have been lower / higher by SR 101.6 million (2024: SR 115.3 million).

Fair value of trade receivables related to contracts with provisional pricing arrangements is disclosed below.

	Fair value – Level 3	Fair value – Level 3
	31 December 2025	31 December 2024
Trade receivables related to contracts with provisional pricing arrangements	2,031,814	2,305,011

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

31. Contingencies and commitments

Guarantees

As at 31 December 2025, the Company is contingently liable for bank guarantees issued on behalf of the Company in the normal course of business amounting to SR 21.9 million (2024: SR 24.1 million).

Commitments

The capital expenditure contracted by the Company but not incurred till year end was approximately SR 331.0 million (2024: SR 343.5 million).

The Company has lease arrangements with Royal Commission for Jubail and Yanbu (Note 8) where the Company is obliged to restore the land to its original condition by the end of the lease term as per the terms of the agreement.

32. Segment information

A segment is a distinguishable component of the Company that is engaged in providing products or services (a business segment) or in providing products or services within a particular economic environment (a geographic segment), which is subject to risks and rewards that are different from those of other segments.

The Company's President and Board of Directors monitors the results of the Company's operations and have been collectively identified as the Chief Operating Decision Maker (CODM). The net results of the Company are reported to the CODM for the Company as a whole. The various expenses which are included in the measurement of the net result for the Company are disclosed in the respective notes to the financial statements.

The Company operates a fully integrated petrochemical facility. The Company analyses the financial information of its operations as a whole. Accordingly, segmental analysis of the statement profit or loss and other comprehensive income and statement of financial position is not carried out. The CODM considers the Company to be a single operating segment based on the nature of its operations and products as substantial portion of the Company's sales are made to one customer and all of the Company's operations are related to one operating segment which is petrochemicals.

33. Financial risk management objectives and policies

The Company's principal financial liabilities comprise loans and borrowings, lease liabilities and trade and other payables. The main purpose of these financial liabilities is to finance the Company's operations and to provide guarantees to support its operations. The Company's principal financial assets include trade and other receivables, short term investments and cash and cash equivalents that derive directly from its operations. The Company's management reviews and agrees policies for managing each of these risks which are summarized below.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's senior management oversees the management of these risks. The Company's senior management regularly review the policies and procedures to ensure that all the financial risks are identified, measured and managed in accordance with the Company's policies and risk objectives. The Company does not engage into any hedging activities. The Board of Directors reviews and agrees policies for managing each of these risks, which are summarized below.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises interest rate risk, currency risk and commodity risk. Financial instruments affected by market risk include loans.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's long-term debt obligations with floating interest rates.

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

33. Financial risk management objectives and policies (continued)

Interest rate risk (continued)

The following table demonstrates the sensitivity of statements of comprehensive income to reasonable possible changes in interest rates, with all other variables held constant.

	31 December 2025	31 December 2024
Total SR denominated floating rate loan (+50 bps)	(22,257)	(5,358)
Total USD denominated floating rate loan (+50 bps)	(6,065)	(26,552)
Total SR denominated floating rate loan (-50 bps)	22,257	5,358
Total USD denominated floating rate loan (-50 bps)	6,065	26,552

Currency risk

The Company is exposed to currency risk on sales, purchases and borrowings that are denominated in a currency other than the respective functional currencies of Company, primarily the EUR, but also USD. The currencies in which these transactions are primarily denominated are EUR, USD, British Pounds, Swiss Franc, and Japanese Yen.

The Company operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the fluctuations of the SR towards the EUR. Foreign currency risk mainly arises from commercial transactions. The Company's policy requires to conduct a regular review of currency exposures.

In respect of other monetary assets and liabilities denominated in foreign currencies, the Company ensures that its net exposure is kept to an acceptable level by buying or selling foreign currencies at spot rates when necessary to address short-term imbalances.

The following table demonstrates the sensitivity of the Company to a reasonably possible change in the SR - EUR exchange rate, with all other variables held constant, of the Company's monetary assets and liabilities:

	31 December 2025	31 December 2024
EUR (+/- 10%)	-	11,662

Exposure to foreign currency risk at the end of the reporting year, expressed in SR '000, was as follows:

31 December 2025	USD	SR	EUR	Total
Cash and cash equivalents	57,469	113,567	-	171,036
Trade receivables	1,965,296	85,233	-	2,050,529
Other financial assets	686,250	(590,416)	-	95,834
Debt	(933,828)	(8,006,269)	-	(8,940,097)
Lease liabilities	-	(200,653)	-	(200,653)
Trade payables	(1,026,018)	(1,320,299)	-	(2,346,317)
Other financial liabilities	(12,585)	(1,044,782)	-	(1,057,367)

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

33. Financial risk management objectives and policies (continued)

Currency risk (continued)

31 December 2024	USD	SR	EUR	Total
Cash and cash equivalents	199,025	97,328	-	296,353
Trade receivables	2,175,741	146,934	-	2,322,675
Other financial assets	50,690	16,383	-	67,073
Debt	(4,236,610)	(3,906,557)	-	(8,143,167)
Lease liabilities	-	(236,013)	-	(236,013)
Trade payables	(1,370,518)	(1,574,210)	(116,618)	(3,061,346)
Other financial liabilities	(195)	(1,039,464)	-	(1,039,659)

Commodity risk

The Company is exposed to the impact of market fluctuations of the price of various inputs to production, mainly butane, ethane, natural gas and utilities. From time to time, the Company manages some elements of commodity price risk through the use of fixed price contracts which are regulated by government. Butane price is relatively correlated to sales price of the final products.

The following table shows the effect of price changes for commodities:

	Increase/ decrease in basis points	Effect on profit before zakat
31 December 2025:		
Raw material and utilities	+10%	(588,566)
Raw material and utilities	-10%	588,566
31 December 2024:		
Raw material and utilities	+10%	(588,074)
Raw material and utilities	-10%	588,074

Credit risk

Credit risk is the risk that one party will fail to discharge an obligation and will cause the other party to incur a financial loss. The Company is not significantly exposed to credit risk.

Cash and cash equivalents are generally placed with banks with sound credit ratings and, in general, all of the Company's sales are made to SABIC, which is a shareholder and has a sound credit rating.

	31 December 2025					
External rating	A+	A	A -	AA-	Others	Total
Cash and cash equivalents	56,256	10,179	104,601	-	-	171,036
Trade receivables	-	2,050,529	-	-	5,551	2,056,080
Other financial assets	-	-	-	-	95,834	95,834

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

33. Financial risk management objectives and policies (continued)

Credit risk (continued)

External rating	31 December 2024					Total
	A+	A	A -	AA -	Others	
Cash and cash equivalents	-	234,772	234,772	61,581	-	296,353
Trade receivables	-	-	-	2,314,027	8,648	2,322,675
Other financial assets	-	-	-	-	67,073	67,073

Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in raising funds to meet commitments associated with financial instruments. The Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation. The Company's management monitors any risk of shortage of funds by forecasting cash flows and assessing impacts of operational activities on overall liquidity availability. Based on this assessment, management determines whether existing credit lines and borrowing facilities are adequate or if additional facilities need to be negotiated. The Company invests surplus cash in current accounts and time deposits, ensuring instruments with appropriate maturities or sufficient liquidity to meet forecasted cash flow requirements. The Company also prioritizes security and liquidity over yield.

The Company's sales invoices are usually settled within 90 to 105 days of the date of the invoices and payables are normally settled within 30 to 60 days of the date of the invoices. Management may coordinate the timing of payments of amounts due to a related party, which constitute significant short-term cash outflows, as a measure to better manage potential working capital requirements.

The table below summarizes the maturities of the Company's undiscounted financial liabilities at 31 December 2025 and 31 December 2024, based on contractual payment dates and current market interest rates.

	31 December 2025			
	Within 1 year	1 to 5 years	> 5 years	Total
Trade payable	2,346,317	-	-	2,346,317
Other financial liabilities	1,057,367	-	-	1,057,367
Lease liabilities	38,380	102,244	331,924	472,548
Debt	1,706,339	4,987,648	4,428,848	11,122,835
Total	5,148,403	5,089,892	4,760,772	14,999,067

	31 December 2024			
	Within 1 year	1 to 5 years	> 5 years	Total
Trade payable	3,061,346	-	-	3,061,346
Other financial liabilities	1,039,659	-	-	1,039,659
Lease liabilities	40,787	115,457	351,884	508,128
Debt	3,834,083	5,171,143	-	9,005,226
Total	7,975,875	5,286,600	351,884	13,614,359

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

33. Financial risk management objectives and policies (continued)

Liquidity risk (continued)

Excessive risk concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry. All of the product sales are made to SABIC and being the Company's parent company, the Company does not foresee risks arising from excessive concentration.

Also refer to Note 1.

Capital management

For the purpose of the Company's capital management, capital includes share capital and all other equity reserves attributable to the shareholders of the Company. The primary objective of the Company's capital management is to maximize the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company is also required to comply with the Companies law and its implementing regulations with respect to taking appropriate steps in the event that accumulated losses exceed specific thresholds as a percentage of its share capital. Also refer to Note 1. The Company monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt.

	31 December 2025	31 December 2024
Total liabilities	13,544,977	13,366,443
Less: cash and cash equivalents	(171,036)	(296,353)
Net debt	13,373,941	13,070,090
Equity	9,179,848	11,502,847
Less: amount directly accumulated in equity relating to fair value adjustments	(620,874)	(620,874)
Adjusted equity	8,558,974	10,881,973
Gearing ratio	61%	55%
	31 December 2025	31 December 2024
Total liabilities	13,070,090	12,842,107
Finance costs	649,588	700,662
Proceeds from long-term borrowings	7,993,150	-
Finance costs paid	(566,384)	(668,316)
Repayment of long-term borrowings	(7,236,448)	(1,743,886)
Principal element of lease payments	(29,355)	(16,383)
Other changes in cash and cash equivalents	(506,700)	1,955,906
Net debt	13,373,941	13,070,090

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

33. Financial risk management objectives and policies (continued)

Capital management (continued)

Change in liabilities arising from financing activities can be broken down as follows:

	As at 1 January 2025	Cash inflows	Cash outflows	Finance cost paid	Others	As at 31 December 2025
Long-term debt (i)	6,061,327	7,993,150	(6,156,000)	(503,297)	532,036	7,927,216
Short-term debt (ii)	2,081,840	-	(1,080,448)	(51,742)	63,231	1,012,881
Lease liabilities (iii)	236,013	-	(29,355)	(10,409)	4,404	200,653
	8,379,180	7,993,150	(7,265,803)	(565,448)	599,671	9,140,750

	As at 1 January 2024	Cash inflows	Cash outflows	Finance cost paid	Others	As at 31 December 2024
Long-term debt (i)	7,479,911	-	(1,424,334)	(500,313)	506,063	6,061,327
Short-term debt (ii)	2,410,967	-	(319,552)	(152,525)	142,950	2,081,840
Lease liabilities (iii)	279,495	-	(16,383)	(15,478)	(11,621)	236,013
	10,170,373	-	(1,760,269)	(668,316)	637,392	8,379,180

- (i) Other movements mainly refer to finance cost attributable to murabaha long term loans and amortisation of transaction cost.
- (ii) Other movements mainly refer to finance cost attributable to RCF.
- (iii) Other movements mainly refer to additions to lease liabilities, finance cost, retirements and remeasurements.

34. Conventional and non-conventional financing and investments

The table below outlines the breakdown of the Company's financing and investments into conventional and nonconventional:

	31 December 2025	31 December 2024
Cash and cash equivalents		
- Current account	114,780	48,543
- Current murabaha (including fixed term deposits)	56,256	247,810
Non-conventional cash and cash equivalents	171,036	296,353
	31 December 2025	31 December 2024
Debt		
- Leases	200,653	236,013
Conventional long-term debt	200,653	236,013
- Murabaha	7,927,216	6,061,327
- Other non-conventional facilities	1,012,881	2,081,840
Non-conventional long-term debt	8,940,097	8,143,167
Total debt	9,140,750	8,379,180

Notes to the financial statements (continued)

(All amounts in Saudi Riyals '000 unless otherwise stated)

35. Subsequent events

Subsequent to the year end, the Company received a letter for additional ethane gas allocation of 30 million standard cubic feet per day from the Ministry of Energy starting from mid of 2026 or earlier depending upon availability of ethane. The Company will be supplied with these quantities in accordance with the terms and conditions contained in the above-said letter.

Except for above, no subsequent event occurred between 31 December 2025 and the date of authorization of these financial statements by the Board of Directors, which may have a material impact on these financial statements.